

After Equilibrium: Belief Shock, Real Deindustrialization, and the Roots of Anti-globalization Politics

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Abstract

Why has globalization, especially free trade, become harder to sustain in its maturity than in its rise? I argue that anti-globalization is mainly top-down, originating in a belief shock among elites whose support for trade openness rests on the expectation that trade will reward national strength. This strength, or comparative advantage in trade, is a claim about where liberalization settles, not whether that settlement endures. As globalization matures, foreign upgrading, technology diffusion, and state-backed distortions can all erode incumbent advantage. The resulting *expectation mismatch* deteriorates the belief: trade no longer reads as legitimizing openness; elites reinterpret it as unfair, causing real deindustrialization, and unsustainable. I test this theory in the context of the U.S. with consistent evidence across trade policies, with mechanism support from congressional speeches (1981-2024) and two trade conflict episode tracing. The findings show that protection concentrates in advantage sectors facing imminent threat, broadening as the threat turns systemic. Contemporary anti-globalization is not simply the politics of displaced losers, but of *threatened winners*, undermining the political sustainability of the free-trade bargain itself. The paper offers broader implications for regime-level preference change.

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1 Introduction

Why has globalization, especially free trade, become harder to sustain in its maturity than in its rise? Skepticism toward trade openness has intensified across countries and, in the United States, spread across party lines: Republicans who once defended liberalization now support tariffs and industrial policy, with Democrats increasingly converging on the same instruments. The European Union has imposed tariffs on Chinese electric vehicles,¹ while Mexico has raised duties to protect industries its development relied on.² This is puzzling because policymakers worldwide long had belief in trade liberalization, and if backlash followed the painful trade adjustments, opposition should be strongest when shocks relentlessly displaced sectors and workers, not long after they had plateaued.

Existing accounts on trade exposure primarily focus on constituent pressure, especially “loser politics” (Autor et al. 2020; Colantone and Stanig 2018; Broz et al. 2021; Grossman and Helpman 1994). Work on trade attitudes explains who supports openness (Hiscox 2002; Hainmueller and Hiscox 2006; Mayda and Rodrik 2005; Scheve and Slaughter 2001). Neither explains the agency, since recent restrictions were driven more from top-down by policymakers; nor the timing and degree, since the sharpest shift arrived long after painful adjustments. Accounts of elite cue explain how trade skepticism spreads (Ballard-Rosa et al. 2024; Guisinger 2017), but unclear about why elites revised their long-held positions. Security and strategic accounts explain why states restrict certain trade (Carnegie and Gaikwad 2022; Farrell and Newman 2019), which is nonetheless compatible with broad trade commitment.

The paper proposes an elite-level theory, shifting the focus from constituencies widely studied in the literature to agentic *elites* who directly craft trade policy shaped by ideas and beliefs (Blyth 2002; Goldstein 1993; Hall 1993; Krasner 1978; Putnam 1988).³ I argue that recent trade backlash intensifies not because of constituent pressure in displaced

¹European Commission, 2024

²Government of Mexico, 2023.

³By elites, I refer to those who directly make national policies as opposed to those who represent local interests such as regional politicians and supply-chain managers.

sectors portrayed as disadvantaged, which often results in managed transitions (e.g., trade adjustment assistance (TAA)); it intensifies when trade erodes the *belief* that sustains elite support in the first place.⁴ This belief is that free trade would reward a country’s comparative advantage for which losers are the necessary cost. When elites infer that openness threatens perceived advantages, the resulting *expectation mismatch* deteriorates that belief. This can trigger top-down reactions (often preemptively) deviating from openness commitments, which contrasts sharply with loser politics and is not reduced to value-based, security, or strategic concerns. Such concerns typically create exceptions to free trade rather than internal contradictions and skepticism.

The argument rests on comparative advantage – the relative productive strength – which has fundamentally anchored both theories and political support among elites for trade openness (Baldwin 2016; Costinot et al. 2015; Samuelson 2004). Conventional theories of trade politics primarily focus on initial liberalization: moving from autarky to trade equilibrium, which I distinguish as *before equilibrium*. In that setting, there exists the prevailing expectation that advantage sectors would expand, export, and sustain national prosperity, with contraction elsewhere as its price. Trade distortions are usually politically inert within a logic of managed transitions, because a country is believed to be losing inefficient disadvantages. President Bill Clinton once famously described globalization as “the economic equivalent of a force of nature like wind or water” (Clinton 2000).

Often overlooked, however, comparative advantage is dynamic and can well erode (Krugman 1987; Rodríguez and Rodrik 1999). My theory builds on this possibility and derives its distinctive political consequences. The promise of comparative advantage is a claim about where trade settles, not a guarantee that the settlement endures. I distinguish *after equilibrium* – the theoretical period after the initial reallocation of liberalization: technological diffusion, incomplete adjustment, and state-backed policy choices can all erode sectors long

⁴By elites’ belief in free trade, I refer to their belief in broad trade openness (practice) rather than necessarily the free-trade ideal. Reagan, for example, endorsed an ideal free trade while pursuing trade conflict. I use “free trade” and “broad trade openness” interchangeably throughout.

perceived as national advantage. At that point, the same trade distortions no longer appear politically ignorable; they are evidence that the promise itself is failing. A state now risks genuine deindustrialization; trade compensation that would otherwise make trade work becomes both economically and politically less sustainable. The resulting gap between the promise and reality is an expectation mismatch. When that gap opens, policymakers update their belief, reinterpreting free trade as an unmet promise, or, as former National Security Advisor Jake Sullivan put it:

“America’s industrial base had been hollowed out . . . The postulate that deep trade liberalization would help America export goods, not jobs and capacity, was a promise made but not kept.” (Sullivan 2023)

Top elites such as Sullivan are primarily insulated from constituency-based protectionism and concerns over disadvantage sectors – it is advantage sectors that are expected to expand exports. Backlash, thus, is the politics of threatened winners actively perceived by elites. Once the free-trade belief fades, subsequent policies can be unpredictable: outright protection – framed through electoral, geopolitical, or industry-support rhetoric – rather than the once-common managed transitions.

The argument yields a central prediction: contemporary protectionism should concentrate in sectors that combine (perceived) national advantage with threats to erode them. Moreover, a bounded threat that implies an anomaly requiring correction leaves other advantage sectors still confirming the belief, so a government usually choose targeted protection. A systemic threat, however, leaves no part of the belief unaffected, so the response can generalize into a broader, more bipartisan turn against free trade.

I test the argument on the United States. The U.S. has been the leader of global trade since WWII. Until the early 2010s, mainstream policy and scholarly debates on trade remained largely focused on disadvantaged sectors and labor-market adjustment (Acemoglu et al. 2016; Autor et al. 2013), shortly before China’s ambitious push (e.g., “Made-in-China

2025”) into advanced industries began to alarm Washington. The main test is the sector-level analysis of the 2018 Section 301 tariffs, the unprecedented reversal in postwar American trade policy (Fajgelbaum et al. 2020), which tests which products a government selects for protection. Exploiting the first two rounds of more discretionary tariffs on over 4,100 HS-6 level sectors strongly supports the argument with considerable effect magnitude: targeting was substantially more likely (from single digit to over 35%) in broad sectors central to U.S. industrial advantage that China had publicly identified for entry. Within those sectors, furthermore, targeting was 38% more likely for sectors in which the United States retained a durable comparative advantage. The results are robust to a variety of identification strategies, measures of key variables, placebo tests of policies with different purposes, and competing explanations (such as sectoral performance, partisan politics, supply-chain fragmentation).

I substantiate the main finding with two mechanism evidence. First, text analysis of the Congressional speeches on free trade (1981-2024) reveals elite trade positions shifting from technocratic discussions and adjustments toward narratives of deindustrialization and unfairness across both parties. These frame shifts reflect their changed belief and are increasingly associated with advantage rather than disadvantage sectors. Second, the comparative case studies of U.S.-Japan and U.S.-China trade conflict episodes trace the mechanism among contrasting sectors along the disadvantage/advantage rationale, and show how threat scope shapes the form of the response.

The paper makes three contributions. First, it offers a novel elite-level temporal explanation for why free trade remains surprisingly unsustainable after decades of globalization but not in its rise of painful adjustment. I bring the “benign” account of comparative advantage to the analytical center and distinguish after-equilibrium politics in a distinctly uncertain phase of globalization neglected by the literature. The key variable is expectation violation which erodes free-trade belief, while losing disadvantage sectors remains cognitively consistent. Second, existing literature remains unclear about why elites themselves revise their

trade belief. Rather than treating elites' views as fixed or deriving them from constituent preferences, I show when elites, especially the top ones, revise their understanding of trade. This shift is politically consequential: when belief remains intact, elites can accommodate losses through managed transitions or narrow security exceptions; when belief erodes, they impose policy change, forcing supply chains, firms, and trading partners to adjust. Lastly, unlike what the compensation literature suggests (Margalit 2011; Kim and Pelc 2021; Magee 2001), domestic adjustment assistance that hopes to buffer globalization shocks may not resolve this particular form of backlash because it is no longer about distributive losses, but a deeper crisis in the foundational assumptions that sustain belief in openness.

The argument extends beyond advanced economies: Mexico and Indonesia have imposed safeguard duties in sectors where free trade had promised not only division of labor but a path to development.⁵ This is particularly pronounced when service sectors are insufficient to offset industrial development.⁶ Moreover, the argument offers more general implications for regime-level preference change. Policy regimes that impose present costs such as distributive losses or ceded sovereignty for diffuse future gains, from security agreements to the liberal international order, are sustained by a similar promise. They are weakened not necessarily by realized losses, but by expectations that may be hard to materialize.

2 An Elite Theory of Expectation Mismatch

What Existing Accounts Leave Unexplained

The politics of trade has well-developed accounts of who opposes openness and why. At the individual level, support tracks skill and factor endowments (Mayda and Rodrik 2005; Scheve and Slaughter 2001), education (Hainmueller and Hiscox 2006), and consumption (Baker 2005). Sociotropic accounts maintain that attitudes follow judgments about the

⁵Indonesia Ministry of Finance, 2024.

⁶Goods exports were about 2.75 times services exports in 2025 (WTO), and most post-China shock service expansion occurred in lower-value sectors (Autor et al. 2025).

national economy more closely than personal circumstances (Mansfield and Mutz 2009). At the aggregate level, import competition harmed employment in exposed regions and shifted local politics toward the extremes (Autor et al. 2020; Broz et al. 2021; Colantone and Stanig 2018).

The contemporary anti-free trade turn falls outside these accounts. The first is agency. Recent restrictions were initiated more by policymakers than by constituent pressure or industry petitioning. The second is timing. Conventional trade-politics theories explain the politics of initial liberalization when displacement occurs; stretching them to explain the much later anti-free-trade turn is difficult, even allowing for delayed effects.

Two further strands of literature bear on the question without settling it. Work on elite cues shows that mass opinion responds to elite and media framing (Ballard-Rosa et al. 2024; Guisinger 2017). Yet the revision is what requires explanation. Work on economic security and strategic competition explains why states restrict particular sectors (Carnegie and Gaikwad 2022; Farrell and Newman 2019). Yet governments may block the trade of a sensitive product while continuing to hold that broad trade can serve its interests (Grinberg 2021).

Two Theoretical Periods: Promise and Uncertainty

Existing accounts attribute elite support for free trade to economic ideas, liberal ideology, democratization, and material gains (Gilligan 1997; Goldstein 1993; Milner and Kubota 2005; Pastor and Wise 1994; Weymouth and Macpherson 2012). At its core, comparative advantage is the canonical answer to why nations trade (Costinot et al. 2015). Ricardo first stated it as a case for free trade between England and Portugal (Ricardo 1817): trade raises welfare through specialization and exchange. Within economics, it has been called the “deepest and most beautiful result in the field” (Findlay 1987), an “unassailable intellectual cornerstone” (Harrigan 2003), and the “one proposition in social science that is both true and non-trivial” (Samuelson 1972). Even if trade has evolved, the original principles still

apply (Krugman and Obstfeld 2009).⁷

The reasoning has been at the heart of support for globalization (Baldwin 2016) and has deeply influenced liberalization policy and elites’ pro-trade sentiment (Congressional Research Service 2021; Samuelson 1972; Williamson 1990). The 1998 *Economic Report of President Clinton* described American comparative advantage in skill-intensive sectors well positioned to gain from trade liberalization and drive innovation, with “good” jobs in exporting sectors offsetting inefficient plants (Council of Economic Advisers 1998). The case for China’s WTO accession rested on a similar belief: Chinese purchases of American advantage products were the gains justifying import competition (USTR 2000).

Existing studies, however, rarely supply what the paper’s political case requires: how long that pattern lasts. The long-run effect of trade openness is itself debated (Garrett 2000; Krugman 1987; Lawrence and Weinstein 1999; Rodríguez and Rodrik 1999), with the predicted settlement depending on assumptions of adjustment mechanisms that often do not hold, such as balanced trade and minimal friction. Comparative advantage is not always exogenously given: scale economies, directed policy choices, external shocks, or fragmented global value chains can all move a country’s advantage away from what its underlying conditions would imply (Baldwin 2016; Krugman 1987; Rodríguez and Rodrik 1999) – the key logic underpinning the paper’s argument.

As such, two phases of trade liberalization should be analytically distinguished. *Before equilibrium*, is the phase in which an economy moves from relative autarky toward equilibrium, a phase that most trade models describe theoretically. Under market forces, reallocation disproportionately displaces disadvantage sectors, which is often an empirically dominant pattern. Trade appears complementary because it is behaving as the belief describes, contraction of disadvantage sectors is seen as the means of gain, and the political response is usually “managed transitions” such as TAA or targeted anti-dumping/counterveiling du-

⁷Comparative advantage is not confined to sector-level models. It appears across later trade theories as advantage under increasing returns (Helpman and Krugman 1985), across heterogeneous firms (Melitz 2003), and across tasks along fragmented supply chains (Grossman and Rossi-Hansberg 2008).

ties (AD/CAD) to cushion adjustment costs at most. Trade distortions can exist but are politically *inert*, because they appear to speed up a shift the promise endorsed. Empirically, this describes the first two decades after 1945 and the first decade after China’s WTO entry, in both of which the United States primarily lost disadvantage sectors and elites supported trade expansion. As President George W. Bush remarked, “the greatest engine of prosperity the world has ever known [is] free trade” (Bush 2008).

After equilibrium, in contrast, names the period in which the initial reallocation is presumed to be consolidated, while competitive pressures continue to reshape incumbent advantage. Classical trade(-politics) models of static equilibrium say little about how long that specialization survives during this period.⁸ Distortions that went unremarked in the first phase now become politically volatile once incumbent advantages face erosion, as in the ongoing “second China shock” in the U.S. and Europe.

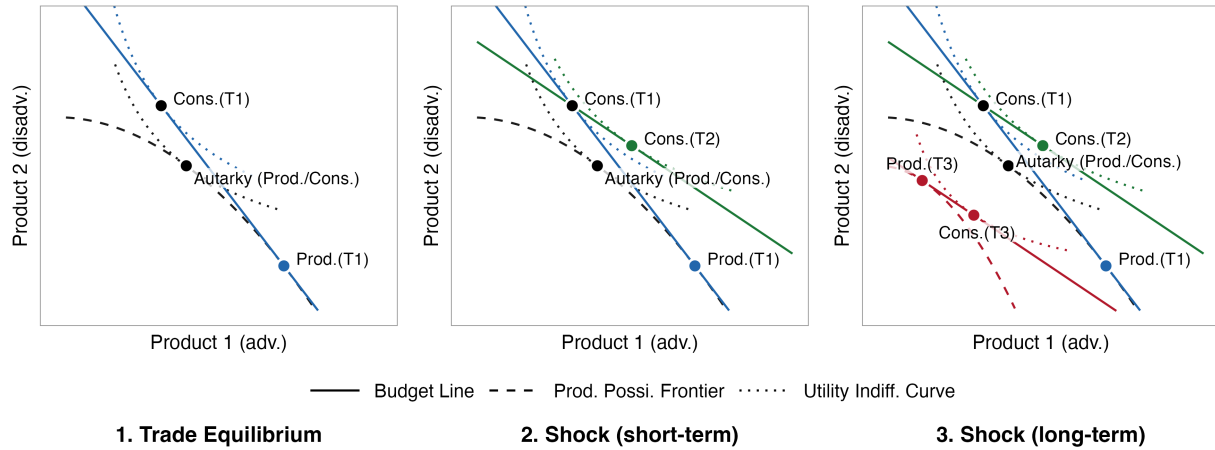


Figure 1: After Equilibrium: Utility Change When Advantage Sectors Lose Out. *Note:* The graphs depict that a short-run trade shock to advantage sectors after equilibrium initially appears benign, because deficit financing allows consumption to even rise despite worsening terms of trade. In the long run, when the advantage sector contracts, welfare falls below its autarky level. See Appendix A for formalization. Pros.=Production, Cons.=Consumption.

Losing advantage sectors is costly. Erosion in goods where the home country holds a

⁸Even the dynamic comparative advantage literature (e.g., Krugman (1987)) is implicit about the period, with no role for policy intervention or political implications.

comparative advantage can permanently reduce real income (Samuelson 2004) and long-run welfare (Krugman 1987). Figure 1 illustrates that disruption to advantage sectors can nullify trade gains by lowering a country’s production levels (see Appendix A for formalization). As such, continued losses in advantage sectors, particularly without comparable new advantages created, can make trade self-defeating rather than efficiency-enhancing.

Expectation Mismatch and Belief Deterioration

What the aforementioned facts do not address is the political consequence: how unmet promises affect government policies and destabilize policy regimes. Although a long tradition treats trade policy as the aggregation of societal interests (Rogowski 1989; Grossman and Helpman 1994; Hiscox 2002), elites hold autonomous preferences and do act strategically (Ikenberry et al. 1988; Krasner 1978; Putnam 1988). Central to that agency are ideas and beliefs – often the decisive cause of how leaders act in foreign economic policymaking (Blyth 2002; Hall 1993; Goldstein and Keohane 1993; Goldstein 1993). Ideas of free trade, reciprocity, or economic nationalism have repeatedly shaped elite positions independent of, and at times against, material incentives and constituencies (Bailey et al. 1997; Chorev 2007; Irwin 2017).

I treat policymaking elites as purposive actors who do not merely transmit constituent demands.⁹ If elites support free trade because of their belief in comparative advantage, unmet expectations should erode that belief. In contrast to the pro-trade belief of Bush and Clinton mentioned above, Table 1 presents convergence in recent statements of senior officials responsible for trade, industrial, and national-security policy across both parties. Despite partisan divergence, their belief in the postwar free-trade regime increasingly weakened as it fell short of prior expectations, particularly by eroding U.S. industrial capacity and national advantage. These top elites who were relatively unpressured by local constituents may not explicitly spell out “comparative advantage.” But they accepted free trade because they

⁹Later, I rule out constituent-driven mechanisms both theoretically and empirically.

expected advantage rather than disadvantage sectors to expand; nor would they regard losing disadvantage sectors as deindustrialization and threatening competitiveness. Even among traditionally labor-oriented Democrats, senior policymakers increasingly emphasize the protection of key U.S. industries.

Table 1: Cross-Partisan Convergence on Elites’ Trade Attitudes

Role	Democratic	Republican
Trade	Katherine Tai , USTR: “ <i>When efficiency and low cost are the only motivators [in trade], production moves outside our borders.</i> ” (Tai 2023)	Robert Lighthizer , USTR: “ <i>Policymakers, business leaders, economists... need to abandon the dogma of trade from 18th-century philosophers...</i> ” (Lighthizer 2021)
Foreign	Jake Sullivan , National Security Advisor: “ <i>In the name of oversimplified market efficiency, entire supply chains—along with the industries and jobs that made them—moved overseas... The traditional model doesn’t cut it.</i> ” (Sullivan 2023)	Marco Rubio , Secretary of State/National Security Advisor: “ <i>An almost religious commitment to free and unfettered trade at the expense of our national economy... collapsed industrial capacity.</i> ” (Rubio 2025)
Commerce	Gina Raimondo , Sec. of Commerce: “ <i>Ensure unfair trade practices do not threaten our competitiveness... trade policy that will help protect key U.S. industries</i> ” (Raimondo 2024)	Howard Lutnick , Sec. of Commerce: “ <i>that the old globalist line of thinking has been a disaster for America</i> ” (Lutnick 2026)
Treasury	Janet Yellen , Sec. of Treasury: “ <i>Friendshoring is our approach to advancing trade that is free and fair</i> ” (Yellen 2022)	Scott Bessent , Sec. of Treasury: “ <i>[in trade] low prices would compensate for lost capacity... those assumptions failed to materialize.</i> ” (Bessent 2026)

The bipartisan turn away from liberal trade orthodoxy reflects deeply deteriorated belief resulting from the violation of prior expectation: elites had expected trade openness to reward national advantage through global division of labor and accepted necessary losses in disadvantage sectors, but increasingly came to see that promise as falling short. Trade can continue, but a return to free trade as usual has become increasingly unthinkable.

This belief update is not reduced to technological or advanced sectors alone: historical decline in sectors not understood as U.S. advantages (e.g., Japanese/French passenger rail, Chinese/Korean commercial shipbuilding, or Dutch semiconductor lithography) barely pro-

duced the same belief change. Only the decline of sectors expected to win under free trade should erode the belief in free trade. U.S. Trade Representative Robert Lighthizer explicitly expressed concern over America’s “*comparative* advantage” when imposing Section 301 tariffs (USTR 2018b).

Expectation mismatch due to the unmet promise is politically consequential in three ways. First, it concerns the logic by which outcomes are evaluated relative to expectations rather than in absolute terms (Alesina and Passarelli 2019; Kahneman and Tversky 1979; Tversky and Kahneman 1991). In the influential theory of reference-dependent preferences, actors weigh losses relative to expectations more heavily than equivalent gains above expectations (Kőszegi and Rabin 2006). When an advantage sector expected to expand instead falls short, the expectation mismatch is perceived as a loss. Existing literature such as “loss aversion” uses a sector’s own past as the baseline, predicting protection for industries already in decline (Baldwin and Robert-Nicoud 2007; Freund and Özden 2008; Tovar 2009).

Moreover, expectation mismatch governs the *intensity* of the reaction following the reappraisal of the sunk losses. Leaders accept costly institutional commitments as long as the institution is believed to deliver promises that justify compliance (Keohane 1984; Koremenos et al. 2001). When advantage sectors are subsequently threatened, the promise is unmet, but realized costs are what gives the reaction its moral charge – the path to the rhetoric of unfairness beyond disappointment.

Lastly, expectation mismatch relates to the *range* and *durability* of the reaction by removing the basis for accepting future losses. Support for free trade was a commitment to a promise about what liberalization would deliver. Policymakers can therefore no longer appeal to the unmet promise as guidance when defending further openness. That accounts for the escalation spreading to deals that may be less relevant to the original backlash. The Trump administration’s TPP withdrawal, with its Section 301 tariffs retained in full by the opposite party, is what a discredited promise produces and what a constituent grievance does not.

Theoretical Prediction

The central claim is that the perceived threat to advantage sectors by policymakers results in an expectation mismatch that weakens the free-trade belief. Protection should therefore disproportionately concentrate in advantage sectors facing perceived threats and can even precede materialized damage (**H1: threatened winner**).¹⁰

Note that a bounded threat in a limited number of advantage sectors from a limited number of trading partners violates expectations locally but may still leave the belief standing in others, leading policymakers to adopt targeted protection for an “anomaly” of free trade. This anomaly may be attributed to sectoral unfair practices that require correction, while losing disadvantage sectors does not. An example is U.S. policymakers’ efforts to defend automobiles (but not passenger rail or DRAM manufacturing despite being economically valuable) in the 1980s, while Reagan still upheld the free-trade ideal. A systemic threat covering a wide range of advantage sectors, however, rules out the reconciliation and erodes the broader belief. I illustrate the logic in the comparison of two trade-war episodes.

Table 2: Major Competing Explanations of Trade Backlash

Theory	Level	Mechanism / trigger	Predicted response
Distributional loss	Constituent	Import competition imposes concentrated losses on disadvantaged sectors	Managed transition
Endogenous protection	Constituent	Interest groups mobilize and lobby for protection	Sectoral support
Strategic/security	Elite	Trade dependence creates vulnerability or shifts relative capabilities	Strategic & security exceptions
Sociotropic	Public	Trade is perceived to harm aggregate or national welfare	Welfare-focused correction
Expectation mismatch	Elite	Trade outcomes violate prior expectations by threatening perceived national advantages	Free-trade belief erosion

The theory makes distinctive predictions compared to competing ones. As summarized in

¹⁰Existing trade institutions such as the WTO may constrain the effect magnitude but should not alter the directional prediction.

Table 2, for example, distributional harm to disadvantage sectors usually results in managed-transition instruments after local pressures accumulate. Policymakers sometimes covertly intervene for reasons such as externalities or infant industries through subsidies and non-tariff barriers. Yet elites can still believe free trade as the desirable practice.

Moreover, policymakers can protect security-related or strategic sectors. However, these sectors usually create exceptions to free trade rather than broad belief update. European policymakers remain committed to trade openness while protecting food or defense sectors, yet become more skeptical of openness when foreign competition starts threatening automobiles, long perceived as a European comparative advantage (European Commission 2023). Put differently, threatened winners should matter independently even when accounting for factors such as security, value added, rents, employment, or political resources.

Lastly, the prediction depends on several assumptions: perceived threat should hardly produce backlash where comparable new advantage sectors are visibly emerging; where the state lacks instruments to respond (e.g., economic dependence on the competitor); or where the sector is peripheral to its economy.

3 Research Design

I test the argument in the United States for three reasons. The U.S. has exhibited a clear bipartisan and temporal reversal in elite trade attitudes and trade policy. It is also the case in which the theory should be harder to sustain, since the United States is the architect of the postwar trade regime and the least likely of its members to abandon the reasoning behind it. Finally, it offers a variation of the threat scope the argument requires: two trade conflict episodes in which advantage sectors came under pressure, with differences in threat scope.

Three bodies of evidence follow. The product-level analysis of the 2018 Section 301 action, the sharpest reversal in postwar American trade policy (Fajgelbaum et al. 2020), is the main

test for *H1* directly. The congressional record from 1981 to 2024 provides descriptive evidence of the revealed basis of elite trade positions. It shows what policymakers said the problem was and whether that account changed, providing support for the central claim. Finally, the case studies of U.S.-Japan and U.S.-China trade conflict episodes provide evidence for both micro-level policymaking process and reactions conditional on the scope of threat.

Data and Sample

The timing of the U.S. policy shift is revealing. As late as the early 2010s, both scholarly and policy debates centered largely on the adjustment costs borne by import-competing disadvantage sectors (Acemoglu et al. 2016; Autor et al. 2013). By the middle of the decade, however, Washington’s concern across both the Obama and Trump administrations had increasingly shifted toward Chinese industrial policies, intellectual-property theft, and entry barriers targeting U.S. advanced sectors (USTR 2015; USTR 2018a). The policy problem was shifting from the old bargain (free trade and compensation) to whether globalization may continue generating gains for expected winners.

Unlike adjustment assistance and antidumping duties, which respond to constituency pressure from demonstrated injury in import-competing sectors, the 2018 Section 301 action represents a clean test of the theory. It was not only the beginning of systemic anti-free trade measures from the United States subsequently retained by the Biden administration, but also a top-down process rather than by constituency pressure, justified by foreign industrial ambitions that “put the future of the U.S. economy at risk” (USTR 2018b). Explicitly, consistent with the advantage-defense logic, U.S. Trade Representative Robert Lighthizer portrayed Chinese practices as an “existential threat to America’s most critical *comparative* advantage” (ibid).

In particular, List 1 (announced July 6, 2018, \$34 billion) and List 2 (announced August 23, 2018, \$16 billion) were assembled by an interagency committee anchored to the 2018 Section 301 investigation report, working downward from MIC2025 sector categories to in-

dividual HTS-8 tariff lines. Although the USTR opened an exclusion process shortly after, it was not for import-competition firms seeking protection; most such requests were denied solely based on the USTR’s discretion.¹¹ The following Lists 3 and 4 (\$200 and \$300 billion respectively), by contrast, expanded coverage sharply including many consumer products, in response to a broader tit-for-tat retaliation escalation and generated more than 50,000 exclusion requests. Thus they will serve as placebo checks.

The analysis proceeds at the six-digit Harmonized System (HS-6) sectors, the finest classification at which consistent bilateral trade data are available. The sample is narrowed down to manufacturing HS chapters 28 through 96, excluding agriculture (chapters 01-24), mineral fuels (chapter 27), and other primary commodities, which are governed by distinct political economy logics. Trade-flow data come from the BACI trade database (Gaulier and Zignago 2010), which reconciles reported import and export values into a symmetric matrix at the HS-6 level for more than 200 countries annually from 1995 through 2022. All trade values are in thousands of current US dollars.

The period for measuring comparative advantage spans 2001 to 2007, the years between China’s WTO accession and the onset of the global financial crisis, the window in which the first China shock in US manufacturing was most acute, serving as a stress test (Autor et al. 2013; Pierce and Schott 2016). Sectors that collapsed before 2007 are revealed as genuinely disadvantage sectors (e.g., textiles, furniture) that never formed the durable expectation the theory requires. I restrict the sample to sectors with non-missing pre-period BACI coverage and a valid concordance to the tariff lists.

¹¹Moreover, exclusion is limited to 10-digit HTS subheading and does not remove the parent 8-digit HTS heading, my unit of analysis of the original USTR targets (USTR 2019). The USTR evaluates exclusion requests case by case, considering: (1) availability from non-Chinese sources, (2) importer attempts to source the product from outside of China, (3) severe economic harm to the importer or other U.S. interests, and (4) the strategic importance to “MIC2025” or other Chinese industrial programs (Congressional Research Service 2020).

Dependent Variable

The dependent variable, $Targeted_k$, is a binary indicator equal to one if HS-6 product k was included on Section 301 Lists 1 and 2, and zero otherwise. List content is drawn from the USTR Federal Register notices, which enumerate targeted product at the 8-digit HTS level. Within manufacturing, approximately 4,000 eligible lines existed, of which roughly 1,300 were affirmatively selected, suggesting the targeting reflects deliberate, product-specific judgment rather than blunt sectoral protection. I map each HTS-8 code to its first six digits and construct a concordance from the HS-2017 revision to the HS-1992 revision used by BACI.¹²

For supplementary analysis, I disaggregate the combined indicator into List-1-specific and List-2-specific dependent variables. Since the lists overlap partly, I exclude any product targeted by List 2 but not List 1, and vice versa, so that products targeted by the other are not misclassified as untargeted controls.

Key Independent Variables

The central explanatory variable, $StableCA_k$ captures whether product k represented a sector of durable US comparative advantage after the 2001-2007 trade shock. I operationalize comparative advantage based on the revealed comparative advantage (RCA) index (Balassa 1965):

$$RCA_{k,t} = \frac{X_{US,k,t} / X_{US,t}}{X_{W,k,t} / X_{W,t}}, \quad (1)$$

where $X_{US,k,t}$ denotes total US exports of product k in year t , $X_{US,t}$ total US manufacturing exports, $X_{W,k,t}$ world exports of product k , and $X_{W,t}$ total world manufacturing exports.¹³ RCA values above one indicate that the US exports product k at a higher share of its total export portfolio than the world average, the conventional threshold for revealed comparative

¹²USTR 2018 HTS codes are in HS-2017 space. HS-1992 is used for calculating the comparative advantage spanning 2001 to 2007.

¹³I use gross trade flows because the theory is about political salience and observability; policymakers see gross export volumes rather than value-added-adjusted trade. Nonetheless, I add robustness checks for this.

advantage in international economics (Balassa 1965; Leromain and Orefice 2014).¹⁴ I compute U.S. annual $RCA_{k,t}$ for each HS-6 product over 2001-2007 using the full BACI bilateral trade matrix, summing across all trading partners for both US and world aggregates.

Then I construct the measure $StableCA_k$, which is coded one if the mean Balassa RCA over 2001-2007 exceeds one and where the within-period change, $RCA_{2007} - RCA_{2001}$, is no less than -0.10 :

$$StableCA_k = \mathbf{1} \left[\frac{1}{7} \sum_{t=2001}^{2007} RCA_{k,t} > 1 \text{ and } RCA_{k,2007} - RCA_{k,2001} \geq -0.1 \right], \quad (2)$$

(2) presumes that real advantage sectors were those that withstood the China shock as a stress test. This measure is used because a sector is unlikely to hold a durable advantage if its RCA averages below one during the shock, or drops sharply even when it still remains above one. Although policymakers are unlikely to calculate this measure themselves, it is best understood to proxy their underlying sense of U.S. industrial strengths: the USTR, tasked with formulating trade policy, routinely tracks which sectors are holding or losing ground, and can reasonably be assumed to distinguish advantaged sectors from the rest. As a robustness check, the measure is replicated over 2001-2016 (in case an advantage naturally evolves into a disadvantage as economic structure changes, and is no longer perceived as advantaged), using coarser HS-4 sectors, and using different within-period changes of -0.05 and -0.20 . Figure 2 visualizes changes in sectoral RCA at the HS-3 level (by aggregating HS-4 categories). Many sectors experienced declining RCAs primarily between 2001 and 2007.

¹⁴I also use RSCA (Revealed Symmetric Comparative Advantage, Laursen) and NRCA (Normalized Revealed Comparative Advantage) as robustness checks.

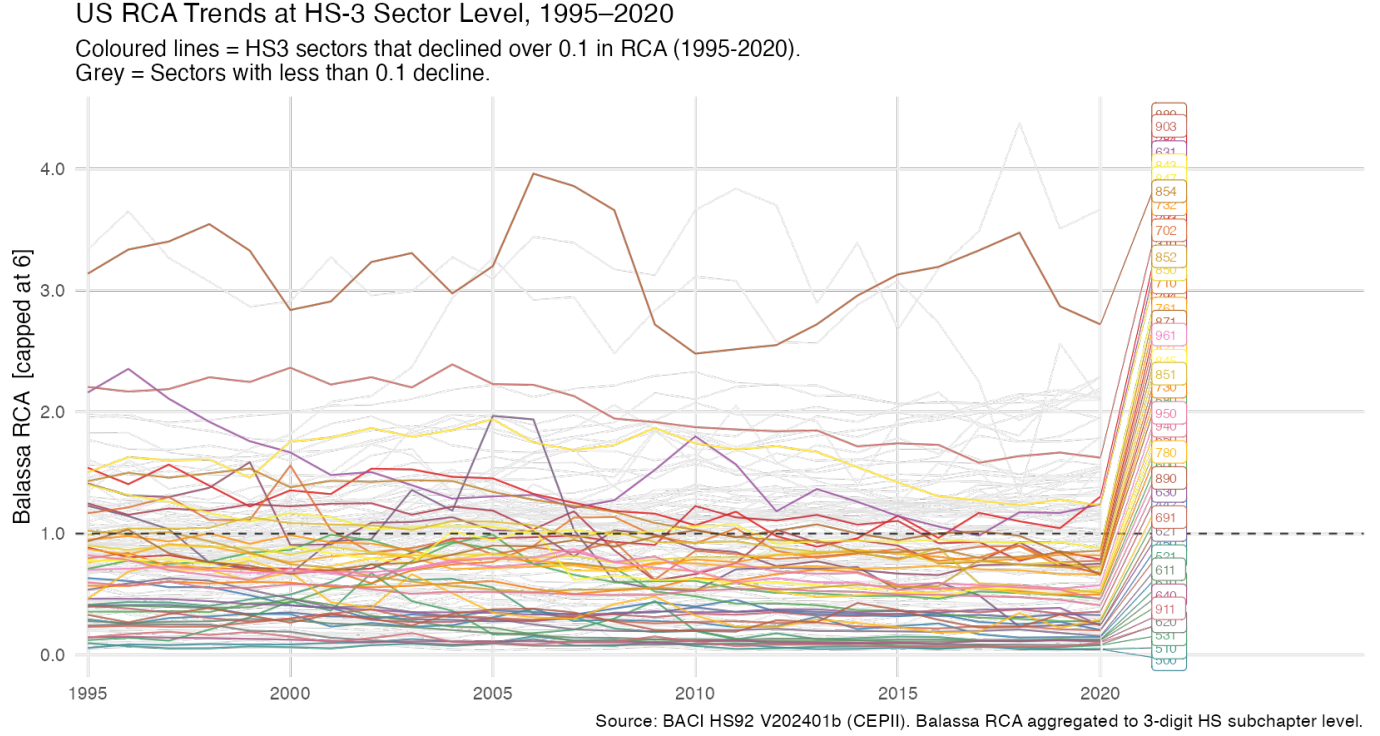


Figure 2: U.S. RCA Trends at HS-3 Sector Level (merged from HS-4), 1995-2020. *Note:* Most declining sectors are U.S. disadvantage sectors, with declines concentrated in 2000-2007 during the first China shock.

MIC2025-related areas represent a broad-level perception of U.S. advantage sectors of concern, as well as serving as a proxy for perceived threat, where China signaled an ambition to enter. The USTR named the Chinese program in its own Federal Register notices as the basis for identifying products; it is how the threat was broadly articulated publicly and in NSC documents. As such, the variable $MIC2025_i$ equals one if product i belongs to one of eight broad HS-2 chapters that map to MIC2025-related areas in its own terms: pharmaceuticals (mapped to HS 30), numerically controlled machinery and robotics (HS 84), next-generation information technology and semiconductors (HS 85), advanced rail equipment (HS 86), new-energy vehicles (HS 87), aerospace equipment (HS 88), ocean engineering and high-technology ships (HS 89), and bio-pharmaceutical instruments and medical devices (HS 90).¹⁵ The mapping is informed by USTR’s own stated review of overlap between the

¹⁵Chemicals and materials chapters (28-29, 38, 72-76) are excluded because they encompass many basic non-strategic goods (Wübbke et al. 2016). However, adding them generates consistent results.

tariff list and MIC2025-related technologies (USTR 2018c).

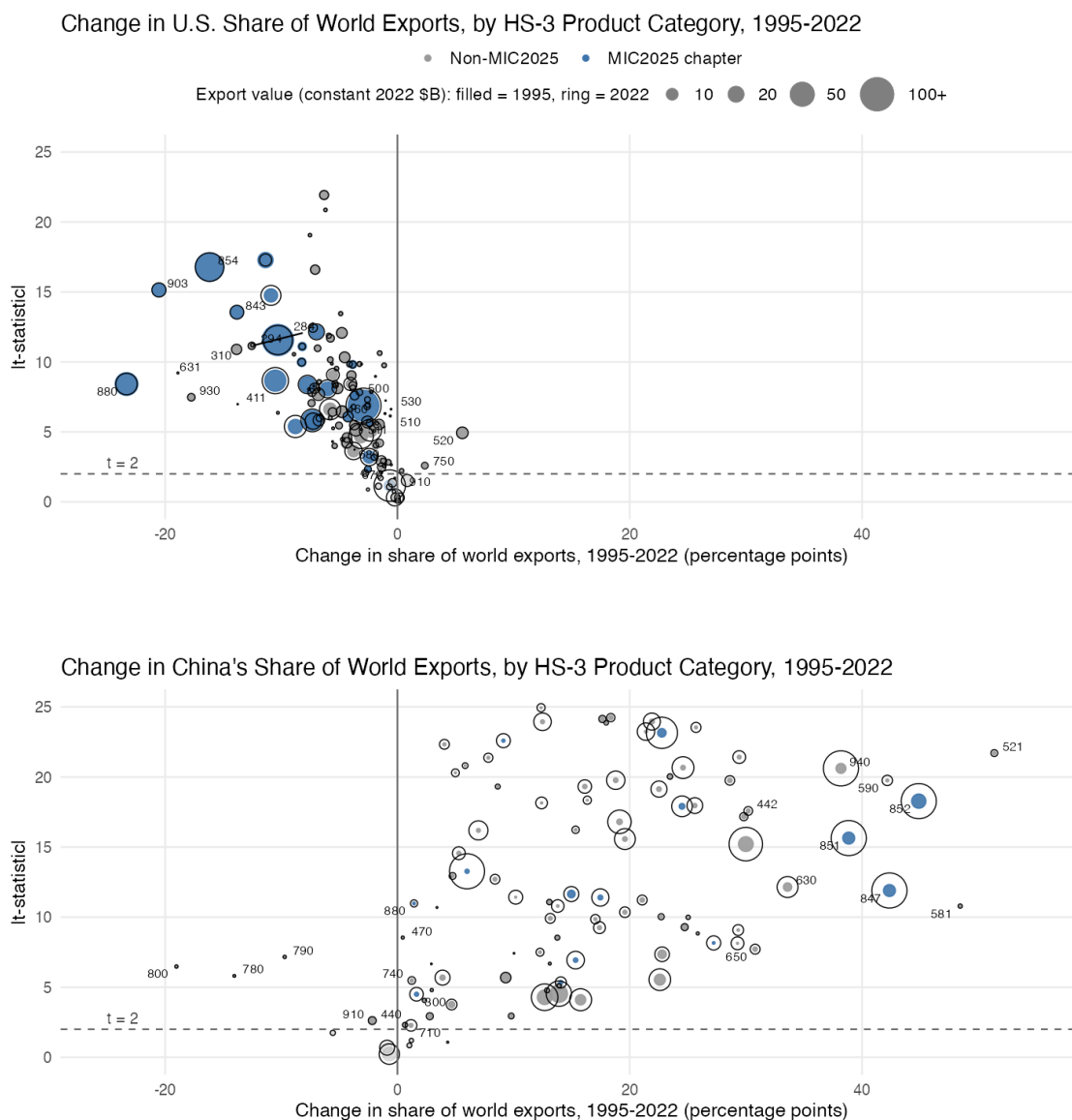


Figure 3: Change in U.S./China share of world exports, by HS-3 sector (merged from HS-4), 1995-2022. *Note:* Exports use inflation-adjusted values. Dark blue indicates sectors under MIC2025-related HS-2 chapters; grey indicates all other manufacturing categories. Points above the dashed line ($|t| > 2$) denote trend estimates statistically distinguishable from zero.

Figure 3 shows that, during 1995–2022, most U.S. manufacturing sectors decreased world export shares. Most MIC2025-related sectors that were the main U.S. export powerhouses

in 1995 barely grew in real export value. By contrast, China shows the opposite pattern in both dimensions, already gaining substantially in MIC2025-related sectors.

Control Variables

I control for three baseline groups of covariates, each aimed at ruling out a specific class of confounders.

Sector characteristics. Log *U.S. exports* of a sector averaged over 2001-2007 controls for the possibility that larger, more politically organized industries petition to address threats independent of comparative advantage (Grossman and Helpman 1994). I additionally include *U.S. import penetration ratio* of a sector over the same period, capturing import-competing domestic exposure.¹⁶ I also control for log *sector value-added* and *sector employment* from the NBER-CES Manufacturing Industry Database to rule out the possibility that the comparative advantage measure is merely proxying for employment and output salience.

Product category. Binary indicators for *intermediate goods* and *consumer goods*, constructed following the UN Broad Economic Categories (BEC) classification, control for the systematic avoidance of goods whose restriction would directly raise consumer prices or impede domestic supply chains. Both product categories may be systematically under-represented on the tariff lists for reasons unrelated to comparative advantage.

China factors. Two controls directly address the alternative hypothesis that the USTR targeted Chinese export conditions. *Share of US imports* of a sector originating from China, averaged over 2001-2007, captures the intensity of direct import competition in the US domestic market (Autor et al. 2013). *Chinese RCA* of a sector over the same period rules out that the U.S. could target Chinese industrial strength. I also control for log *US exports to China* in a sector, capturing products where American exporters had active export exposure to the Chinese market that may lower targeting probability.

¹⁶For a given sector k , $\text{Import Penetration}_k = \frac{\text{Imports}_k}{\text{Domestic Output}_k + \text{Imports}_k - \text{Exports}_k}$.

Estimating Strategy

I estimate a linear probability model of the following form:

$$\begin{aligned} \text{Targeted}_k = & \alpha + \beta_1 \text{StableCA}_k + \beta_2 \text{MIC2025}_k + \beta_3 (\text{StableCA}_k \times \text{MIC2025}_k) \\ & + \mathbf{X}'_k \boldsymbol{\gamma} + \delta_{h(k)} + \varepsilon_k \end{aligned} \quad (2)$$

where $h(k)$ denotes the HS-2 chapter to which product k belongs, $\delta_{h(k)}$ is a chapter fixed effect, and $\mathbf{X}_k$ is the vector of controls described above. Standard errors are heteroskedasticity-robust and clustered at HS-4 levels. Chapter fixed effects are central to identification and a limitation. This rules out the possibility that results reflect chapter-level political or industrial characteristics. The HS-2 chapters can contain lower-level disadvantage alongside advantage products (e.g., HS 85 contains both semiconductors and consumer electrical appliances). Because MIC2025_k is defined at the HS-2 level, the MIC2025 main effect (β_2) cannot be separately estimated once chapter effects are included. β_3 is the coefficient that carries *H1*: whether stable comparative advantage predicts targeting more strongly within MIC2025-designated sectors than outside them, that is, the threatened winners. Since the theory is partly a between-chapter claim, I estimate a model without chapter fixed effects accounting for variation between MIC2025 and non-MIC2025 chapters.

4 Empirical Result

The central hypothesis of the Section 301 action test is whether contemporary protection concentrates in sectors associated with threatened national strength rather than merely in sectors exposed to import competition in the conventional sense. The interaction term $\text{StableCA}_k \times \text{MIC2025}_k$ captures whether stable CA carries additional targeting probability within the domains where China has declared its intention to erode US advantage areas, that is, threatened winners.

Table 3: Comparative Advantage and the Targeting of Trump's Section 301 Tariffs

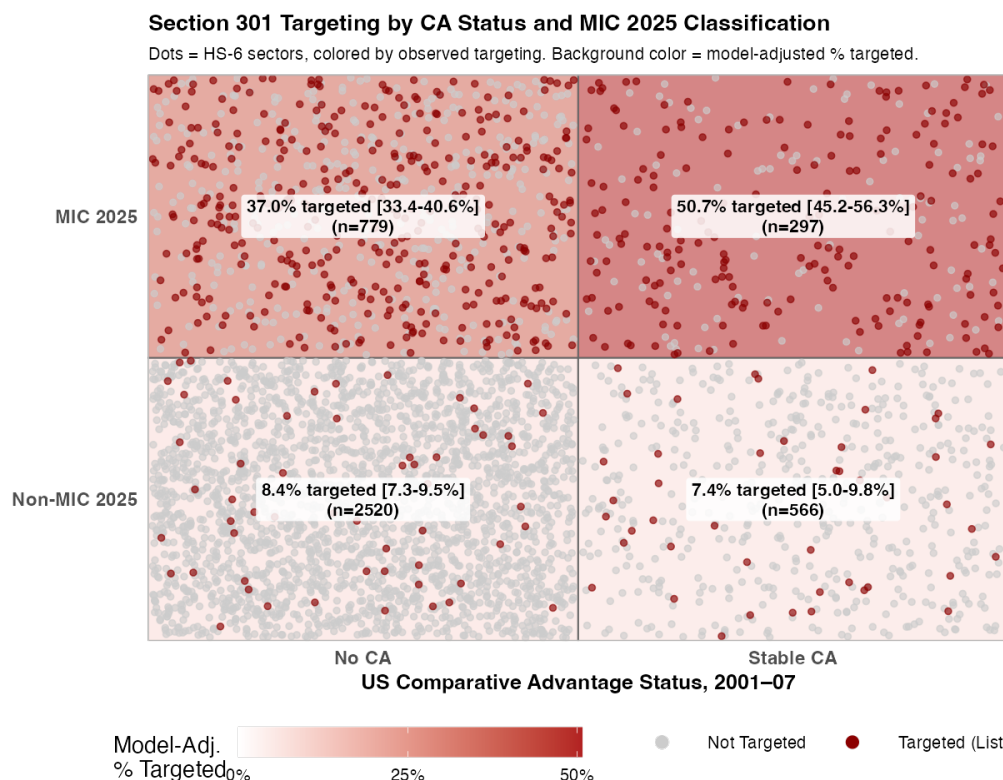
	<i>DV: Section 301 List 1+2 Targeting</i>					
	(1)	(2)	(3)	(4)	(5)	(6)
Stable CA $\times$ MIC 2025	0.108*** (0.035)	0.181*** (0.033)	0.188*** (0.032)	0.199*** (0.031)	0.200*** (0.031)	0.147*** (0.033)
MIC 2025	0.469*** (0.018)					0.286*** (0.021)
Stable CA	0.057*** (0.012)	0.017** (0.007)	-0.012 (0.008)	-0.030*** (0.008)	-0.033*** (0.008)	-0.010 (0.013)
Log US export value			0.020*** (0.003)	0.000 (0.003)	0.004 (0.003)	0.005 (0.004)
Import penetration			-0.032 (0.056)	-0.004 (0.048)	0.003 (0.050)	-0.021 (0.050)
Log value-added			0.062*** (0.017)	0.040** (0.017)	0.035** (0.016)	-0.036*** (0.007)
Log employment			-0.026 (0.021)	-0.013 (0.020)	-0.012 (0.020)	0.061*** (0.010)
China import share				-0.221*** (0.033)	-0.192*** (0.032)	-0.210*** (0.029)
China RCA				-0.008** (0.003)	-0.006* (0.003)	-0.003 (0.003)
Log US-China exports				0.020*** (0.003)	0.017*** (0.003)	0.025*** (0.003)
Intermediate good					-0.141*** (0.025)	-0.186*** (0.023)
Consumer good					-0.209*** (0.026)	-0.220*** (0.024)
HS-2 FE	No	Yes	Yes	Yes	Yes	No
NumObs	4162	4162	4023	4023	4023	4023
R^2	0.369	0.515	0.529	0.546	0.560	0.435

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

Table 3 displays the results across six specifications, building from the unconditional interaction to the fully controlled specifications. The coefficient of $\text{StableCA}_k \times \text{MIC2025}_k$ tests $H1$. It is positive and significant in every specification, from 10.8 percentage points unconditionally (column 1) to 20.0 percentage points in the fully specified model (column 5). Column 2 adds chapter fixed effects alone. These absorb chapter-level confounders, such as industry characteristics or political influence, that correlate with MIC2025 designation,

comparative advantage, or targeting. Columns 3 through 5 add the three groups of controls progressively: sectoral factors in column 3, China factors in column 4, and product factors in column 5. Column 6 repeats column 5 but relaxes chapter fixed effects to allow for the coefficient of MIC2025. Diagnostic checks include VIF tests for multicollinearity.

Overall, MIC2025 chapters, representing the perceived threat to broad U.S. advantage areas, receive systematically higher targeting probability (46.9 and 28.6 percentage points more in columns 1 and 6, respectively). Within MIC2025 chapters, furthermore, durable comparative advantage in refined HS-6 sectors predicts a 16.7 percentage point higher probability of targeting – targeting exactly concentrates in threatened advantage sectors. Durable comparative advantage outside MIC2025 chapters, in contrast, predicts little targeting difference.



Sources: BACI HS92 (CEPII); USTR (2018). Predictions: full model without chapter FE.

Figure 4: Predicted Section 301 Targeting by Stable CA Status and MIC2025 Classification. Note: Model-predicted Section 301 targeting probability by CA status and MIC2025 classification, with 95% CIs; dots show raw observed targeting outcomes.

In Figure 4, each panel shows the same grid – U.S. stable comparative advantage status (2001-07) crossed with MIC2025 classification – with predicted probabilities of Section 301 targeting from the full specification (Table 1, column 6), computed via average adjusted predictions holding all other covariates at their observed values. Within MIC2025 chapters, the model predicts 37.0% and 50.7% probability of Section 301 targeting for nonstable-CA and stable-CA sectors, respectively.

Robustness Checks

Table 4 confirms that the findings are robust to an array of alternative specifications: the interaction term remains positive and significant when restricting to List 1 (\$34B) or List 2 (\$16B), when aggregating to HS-4 levels for the coarser unit of analysis, and Stable RCA reconstructed using an extended 2001-2016 window before Trump’s election. Column (5) recodes MIC2025 using the narrower list of 70 HS-4 sectors that I manually mapped from the MIC2025 policy’s named areas. Although the interaction term turns null, meaning Stable RCA gets higher targeting for both MIC2025 and non-MIC2025 sectors; threatened winners (stable CA = 1, MIC2025 = 1) still predict the highest targeting probability.

Table 4: Robustness: List Split, Aggregation Level, and Pre-Period Window

	(1) List 1	(2) List 2	(3) HS-4 Unit	(4) RCA 2001-16	(5) MIC HS-4
Stable CA $\times$ MIC 2025	0.226*** (0.032)	0.098** (0.040)	0.222*** (0.060)	0.153*** (0.032)	−0.019 (0.045)
Stable CA	−0.046*** (0.005)	−0.001 (0.007)	0.008 (0.016)	−0.025*** (0.008)	0.043*** (0.013)
MIC 2025					0.185*** (0.033)
Control	Yes	Yes	Yes	Yes	Yes
HS-2 FE	Yes	Yes	Yes	Yes	Yes
Unit of Analysis	HS-6	HS-6	HS-4	HS-6	HS-6
<i>NumObs</i>	3875	3530	940	4023	4023
R^2	0.542	0.477	0.677	0.556	0.561

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

Note: Robustness across list split, aggregation level, and pre-period window; interaction holds except under the narrow HS-4 MIC2025 list (designation effect).

I conduct additional robustness tests, including sensitivity analysis to assess the omitted variable bias following Cinelli and Hazlett (2020): any confounder (interacted with MIC2025) would need to be 21 times as strong as sectoral value-added, or 193 times as strong as import penetration, to eliminate the interaction effect (Appendix B.1). Furthermore, to relax the LPM’s functional form, I apply two matching methods (nearest-neighbor matching and covariate-balancing propensity score weighting), finding the same pattern within MIC2025 sectors (Appendix B.2). As mentioned, I also construct stable RCA using different measures: RSCA (Revealed Symmetric Comparative Advantage), NRCA (Normalized Revealed Comparative Advantage), and continuous RCA (Appendix). To rule out the possibility that the effect reflects arbitrary MIC2025 or StableCA classifications, I conduct randomization inference, showing that the coefficient exceeds 99% of random draws (Section B.3). Overall, these tests strengthen the causal claim.

Key Competing Explanations

In what follows, I address several key competing explanations in greater detail.

Bilateral trade deficit. I test whether Section 301 targeting instead tracked the US-China bilateral trade deficit – an oft-stated rationale for Trump’s tariffs – rather than comparative advantage. In Appendix B.4, adding the raw bilateral deficit and its interaction with MIC2025 as the controls leaves the StableCA $\times$ MIC2025 estimate essentially unchanged. The competing deficit term carries the opposite sign from what a deficit-driven-targeting story would predict.

Sectoral competitiveness. A concern is that “comparative advantage” merely proxies for sectors where the U.S. is generally more productive or higher value-added. But comparative advantage cannot be reduced to high-value-added industries. The United States, for example, ceded commercial shipbuilding and much semiconductor manufacturing despite both being relatively high-value activities. The check (Appendix B.5) merges log sector value-added and five-factor total factor productivity (TFP) from the NBER-CES Manufacturing Industry Database, averaged 2001-2007 and matched via HS-6-to-NAICS-4 concordance. When TFP is interacted with MIC2025, the StableCA $\times$ MIC2025 term remains significant.

Security and strategic concerns. One other concern is that the advantage-defense mechanism is difficult to distinguish from a broader national-security or strategic-technology rationale. Security and strategic concerns inevitably play a role, but they typically motivate limited, targeted exceptions rather than undermine the broader free-trade belief. Nonetheless, I control for a security-sector indicator combining CISA’s Critical Manufacturing Sector (NAICS 331/333/335/336) and the USGS 2022 Critical Minerals List, and find the interaction term survives essentially unchanged (Appendix).

Partisanship. Another competing theory to consider is political-competitiveness: Fajgelbaum et al. (2020) finds that U.S. Section 301 tariffs favored sectors concentrated in electorally competitive counties (an inverted U-shape), raising the question of whether the main result reflects electoral targeting. The check (Appendix) similarly constructs a sector-

level political-competitiveness measure – the labor-compensation-weighted average of 2016 county Republican vote share across each industry’s producing counties, matched via the HS6-to-NAICS4 concordance – and adds it (with its square, allowing for the documented inverted-U relationship) to the full specification.¹⁷ The interaction term remains unchanged (0.192 vs. 0.200 baseline).

Value-added RCA. RCA constructed from gross trade may understate U.S. comparative advantage in fragmented global production, where the United States specializes in high-value tasks such as design, R&D, and intellectual property while assembly occurs abroad. This creates plausible false negatives (i.e., Stable RCA = 0) in Stable RCA. Such misclassification would tend to attenuate the estimate by assigning genuinely advantaged, highly targeted products to the control group, making RCA and non-RCA MIC2025 products appear more similar. As a robustness check, I reconstruct RCA using value-added exports, showing consistent results (Appendix).

Intra-industry product differentiation. Durable comparative advantage in modern trade may reflect differentiated-product specialization rather than commodity dominance. StableCA sectors do show higher intra-industry trade (IIT) than other sectors (Grubel-Lloyd index 0.345 vs. 0.258, $p < 0.001$), but this does not confound the result: the interaction is essentially unchanged controlling for IIT and IIT×MIC2025 directly and shows no significant moderation by IIT (triple-interaction $p = 0.145$; significant in both above- and below-median IIT subsamples).

Placebos: pre- and post-2018 policy instruments

As noted above, U.S. policymakers began recognizing threats to advantage sectors in the mid-2010s, and Section 301 Lists 1/2 represented the policy response most directly tied to

¹⁷The sector-level political-competitiveness measure is: $\text{PolExposure}_s = \sum_{r \in R_s} \frac{w_{sr} L_{sr}}{\sum_{r' \in R_s} w_{sr'} L_{sr'}} V_r$, where R_s is the set of counties with employment in industry s , $w_{sr} L_{sr}$ is industry s ’s labor compensation (payroll) in county r (Census County Business Patterns, 2016), and V_r is county r ’s 2016 Republican presidential vote share (MIT Election Data and Science Lab).

those concerns. The theory therefore should not predict the same pattern for policies that fall outside the relevant temporal or substantive scope. I examine six placebo instruments that provide falsification tests for the expectation-mismatch mechanism.

Once policymakers erode faith in free trade, they protected threatened advantage sectors. Once deviating from free trade, subsequent policy responses can take unpredictable forms – including industrial policy, geopoliticization, and securitization. The USTR’s later List 3/4 targeting of the Section 301 action expanded coverage to most remaining Chinese imports due to retaliation escalation (column 1 of Table 5). This is a markedly less selective policy than List 1/2 targeting. The interaction term is not merely null but reverses sign – StableCA×MIC2025 products were significantly less likely to be targeted.

The CHIPS Act (Biden, semiconductor manufacturing reshoring subsidies, column 2) follows a “rebuild lost capacity” logic that should be orthogonal to, or even inversely related to, defending existing comparative advantage. The interaction coefficient is small and insignificant, consistent with this prediction. The Inflation Reduction Act’s (IRA) clean-energy provisions (Biden, sectors where the US held little prior advantage) deliberately support electric vehicles (HS 8703) and lithium-ion batteries (HS 8507), sectors with limited prior US comparative advantage. The result shows the same null pattern (column 3). Section 232 steel and aluminum tariffs of long-standing US comparative disadvantage (Trump, HS-2 chapters 72, 73, and 76) follows the national-security rationale. Because Section 232’s targeted chapters are entirely disjoint from the MIC2025 HS-2 chapters, an interaction term is omitted. The coefficient of Stable CA is negative (column 4).

Table 5: Placebo: Instrument Specificity and Temporal Tests

	MFN Tariff (Pre-2016)	AD/CVD (Pre-2016)	Sec. 232 (Trump'18)	List 3/4 (Trump'18/9)	CHIPS (Biden'22)	IRA (Biden'22)
Stable CA $\times$ MIC 2025	0.015 (0.229)	0.009 (0.011)		−0.205*** (0.036)	0.008 (0.010)	0.010 (0.012)
Stable CA	−0.106 (0.123)	−0.020*** (0.007)	−0.081*** (0.009)	0.019 (0.017)	−0.003* (0.002)	−0.003*** (0.001)
Control	Yes	Yes	Yes	Yes	Yes	Yes
HS-2 FE	Yes	Yes	No	Yes	Yes	Yes
N	3712	4023	4023	4023	4023	4023
R^2	0.531	0.092	0.180	0.355	0.088	0.118

Note: MIC2025 interaction omitted for Sec. 232 because its chapters (72, 73, 76) are disjoint from MIC2025 chapters; Stable CA alone is tested instead. List 3/4 uses USTR's later, broader Section 301 escalation rounds (2018–19) as the dependent variable. See Appendix B.6 for full results.

The remaining two placebo tests examine whether StableCA $\times$ MIC2025 products were already protected before Section 301 existed. Using the 2016 U.S. MFN applied tariff rate (WITS/TRAINS) as the dependent variable, the interaction coefficient is small and insignificant (column 5). Another version of the same test uses active US AD/CVD protection in 2009–2016¹⁸. The result is again null (column 6). These two pre-trend placebos indicate that Section 301's targeting pattern was driven by a new logic, rather than a continuation of pre-existing policies.

5 Shift in Elite Discourse on Free Trade (1981–2024)

The preceding analysis demonstrates that, statistically, the recent drastic trade policy reversal is consistent with the advantage-defense theory. Besides the rich evidence already illustrated on elites' rhetorical change, I seek to reveal whether the dynamics systematically occurred in policymakers' own words and to establish the belief-based link between threatened winners and policy reaction. I expect that policymakers have increasingly associated free-trade discontent with advantage sectors rather than transitional adjustment or

¹⁸Data from the Temporary Trade Barriers Database (Bown 2016).

disadvantage sectors. I analyze U.S. Congressional speeches on free trade using LLM-based construct-level coding with an unsupervised structural topic model (STM) as an robustness check.

The LLM-based approach

Compared to text-analysis methods based on word statistics (e.g., topic models), an LLM-based approach can correspond to the specific, theoretically motivated constructs at stake here – whether a named sector is identified, whether the speaker is specifically expressing competitiveness-decline concern as opposed to generic job-loss language, or whether national-security language is invoked. Measuring these constructs requires context-aware, construct-specific classification, which is only tractable via LLM-based annotation.

The corpus consists of congressional floor speeches from the Hein-Daily corpus (97th-114th Congresses, 1981-2024), filtered to include speeches containing the keyword “free trade” and its spelling variants (excluding “free trade agreement”), because the theory concerns how elites frame the free-trade topic. This process generated 4,220 speeches. I capture 500 words surrounding each keyword occurrence for local framing for each speech. Each speech was then classified by *gpt-4.1-mini* using the structured-output prompting, which constrains the model to a fixed set of valid category values per field.¹⁹ The final prompt was tuned on a fixed 300-speech random sample iteratively to reduce non-idiosyncratic mistakes such as sector-frame misattribution (e.g., attributing sectors to frames in unrelated sentences) and incidental sector mentions (e.g., as unrelated, passing references such as “broadband sales”). For each speech, the model extracted every specific sector mentioned, with a total of 4,845 sector mentions, as well as five boolean rhetorical-frame indicators: industrial decline concern, security framing, criticize free trade, call for protection, and china mentioned. The purpose is to assess whether such frames is systematically associated with advantage sectors.

¹⁹See Appendix for the codebook and prompt. Temperature was set to zero. Multiple runs using gpt-4.1-mini and using Claude Sonnet 4.5 yield similar classifications (raw agreement above 92%).

The LLM classification shows good face validity for both positive and negative cases. For example, it precisely identifies the automobile sector in Rep. Bart Stupak’s (D-MI) 2004 speech associated with the correct combination of frames (security=F, protection=T, ft_criticism=T, industrial_decline=T, china_mention=F).²⁰ A human-validation sub-sample check (150 speeches), scored via Krippendorff’s alpha, is reported in Appendix. Placebo tests, using synthetic neutral sentences or real excerpts with sectors swapped across categories, find no evidence that the LLM’s coding is systematically biased.

Sector names are then canonicalized through a manually-reviewed process to merge sectors with substantively identical meanings (e.g., “chips” or “microprocessors” to “semiconductors”) or with spelling and phrasing variants (e.g., “auto,” “automotive,” “autos,” or “cars” to “automobile”). This yields 1,048 distinct canonical sector names. I take a conservative approach to include only obvious sectors in the advantage/disadvantage categories while omitting the borderline cases. The point is to capture the relative mention share changes in a fixed set of advantage/disadvantage sectors comparable across periods. For advantage sectors, I manually classify each sector name against the MIC2025-relevant list that proxies broad-sense U.S. advantage sectors, a consistent operationalization from the main statistical analysis. This results in 1,287 mentions (23 canonical sectors), including “Automobile,” “aerospace,” and “pharmaceutical.” For disadvantage sectors, I identify the ones fitting the classic “labor-intensive, import-competing, low value-added manufacturing” genre, excluding agriculture/food/livestock, energy/minerals, services, generic terms (i.e., “manufacturing”), and anything already MIC2025-tagged. 1,050 mentions (10 canonical sectors) were identified. The list includes “apparel,” “steel,” and “furniture,” most of which have RCA < 1 in 2007. Finally, 2,508 mentions (792 canonical sectors) fall into neither – dominated by agricultural commodities, raw materials, generic terms, and services (many mentioned only once).²¹ An LLM-based validation identifies 58 mentions (1.2%) different

²⁰Although in a few rare cases, LLM treats rhetoric like “protection of American know-how” as protectionism.

²¹See Appendix 14 for the top 20 sectors for each category.

from manual classification.

Congressional Attention to Advantage Sectors vs. Disadvantage Sectors, 1981-2024

Share of sector mentions in each category, by period. Bands = 95% CI.

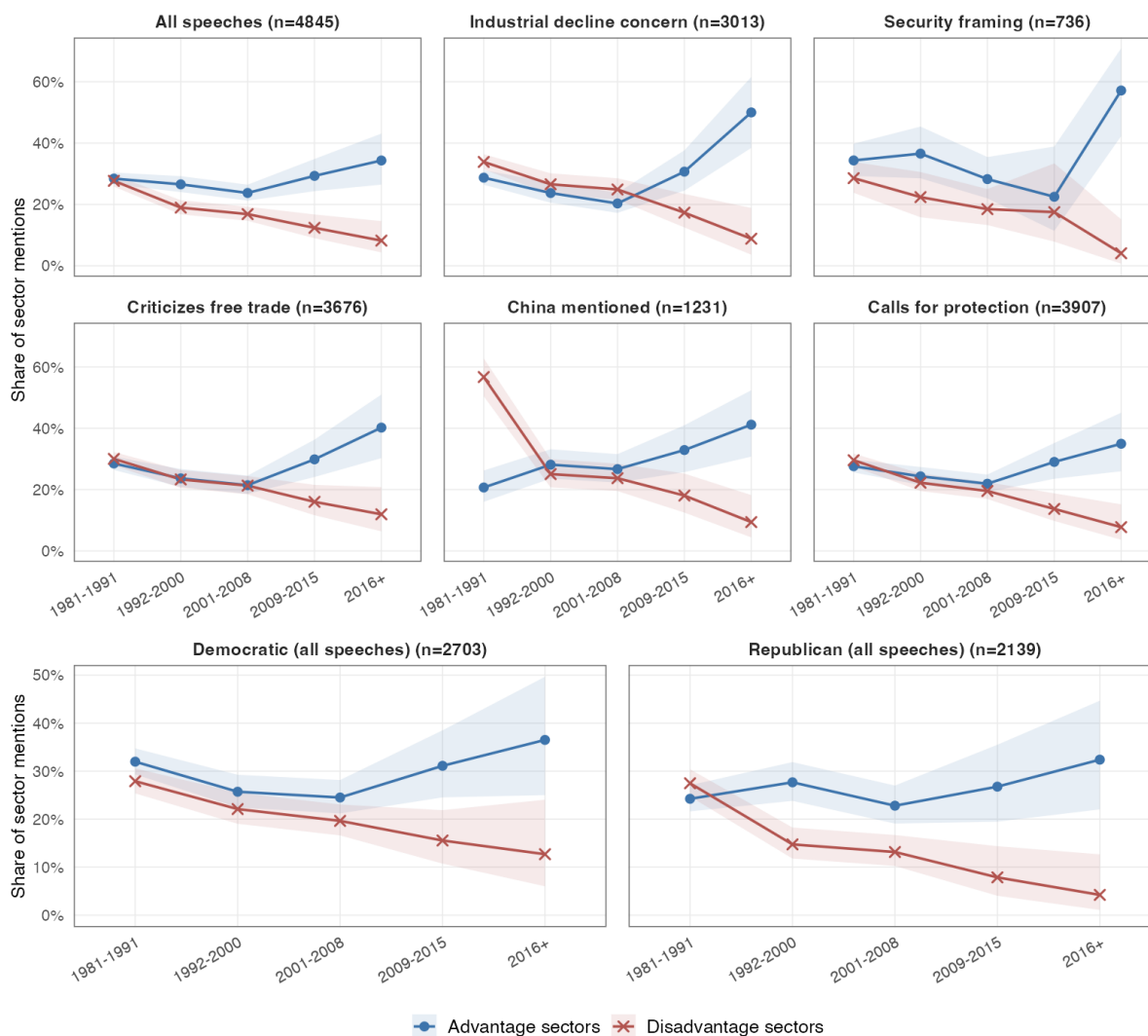


Figure 5: Advantage vs. Disadvantage Sector Share of Sector Mentions. *Note:* by period and rhetorical subgroup, with a standalone Democrat/Republican comparison. Shaded bands are 95% CI and n denotes number of sector mentions.

In Figure 5, across five binned periods, disadvantage-sector mentions (percentage of all mentions) decline steadily and substantially, from nearly 30% of all sector mentions in the 1980s to under 10% by 2016 and later, a pattern that holds across every frames examined.²²

²²This mention-level measure captures the composition of trade-sector attention. Mentions per sector-naming speech range from 1.8 to 2.3 across the five periods. Appendix reports results using speech-level

Advantage-sector salience, by contrast, is comparatively flat until the 2000s and then rises rapidly afterwards, a pattern also visible within the speeches of all five frames and the bipartisan trends. All this strongly supports the central claim: when Congress elites frame trade issues, the sectors invoked have shifted decisively toward American advantage sectors. In particular, frames such as criticizing free trade or calls for protection increasingly associated with advantage sectors would indicate that deteriorating elite beliefs in free trade are linked to threats to expected winners.

Comparing the 2001-2008 and the post-2016 periods, advantage-sector salience within industrial-decline-concern or national-security-framed speeches, for example, rises by nearly 15 percentage points. Disadvantage-sector salience of the same subgroups falls by nearly 20 percentage points.²³ Rep. Marcy Kaptur (D-OH) drew this contrast explicitly, “*as U.S. multinationals moved manufacturing offshore, Americans were told their future was in knowledge jobs. Today, knowledge jobs are being moved offshore more rapidly...*” Table 6 presents more examples of these concerns. Legislators increasingly describe trade not as an external relation but as a self-inflicted vulnerability. The recurring rhetoric of “lost good jobs,” “unfair trade,” and “industrial decline” is consistent with the expectation-mismatch argument: disappointed elites no longer treat free trade as a bargain that works.

measures.

²³Full regression specifications comparing the two periods (2001-08 vs. 2016+) are reported in Appendix 13.

Speaker		Year	Content
Rohrabacher (R-CA)		2010	“Well. if we permit them to launch our satellites on their rockets. we will be undercutting our own rocket industry. You can kiss our aerospace industry goodbye. If our major companies like Boeing and GE start outsourcing aircraft...”
Kucinich (D-H)		2010	“We cannot have a strong American economy without a strong industrial manufacturing sector that includes not only the steel industry. but also the auto. shipping and aerospace industries...”
Defazio (D-OR)		2011	“...the Korea Free Trade Agreement will cost us 160.000 jobs. Byebye to the last vestiges of the auto parts industry...”
Sutton (D-OH)		2011	“...This raw deal would be particularly bad for my district and districts around the country that support our domestic auto industry, auto suppliers and parts makers...”
Schumer (D-NY)		2011	“in this Nation where we once built the armaments of the world. where we once built the cars of the world. where we once built the great earthmovers. in this Nation that once was the strongest manufacturing Nation in the world. we have lost half of the manufacturing jobs.”
Garamendi (D-CA)		2011	“But in the Recovery Act theres money for highspeed rail and a provision that says that this money can only be spent on equipment manufactured in America. Good. Wonderful. Thats the kind of law we need. We need to support American manufacturers. Now. they dont build highspeed rail systems in America.”
Garamendi (D-CA)		2014	“The hightech industry. the automotive industry is coming back. and indeed. for a variety of reasons. some of it had to do with on our legislative agenda. We are seeing the revival of the American manufacturing sector. Good. wonderful. That is where the middle class jobs will largely come from.”
Sanders (I-VT)		2015	“Today. there are nearly 200 electronics factories in Malaysia where hightech products from Apple. Dell. Intel. Motorola. and Texas Instruments are manufactured and brought back to the United States. If the TPP is approved. that number will go up substantially.”
Stabenow (D-MI)		2015	“...the issue of currency manipulation affects every part of the economy—agriculture, medicines, and every part of the economy. All we are saying is to give us a shot here. Give American manufacturers and workers a shot...”
Hatch (R-UT)		2015	“The tech companies—these are America’s moviemakers, software developers, computer manufacturers, the people who drive America’s innovation—understand that promoting American trade requires protecting American intellectual property.”
Kaptur (D-OH)		2017	“The Rules of Origin for autos and auto parts should be beefed up. The “regional value content” should be raised and all loopholes closed. ”
Portman (R-OH)		2018	“...China tilts the playing field against American firms, innovators, and workers and gets the technology they need to leapfrog the competition.”
Schumer (D-NY)		2019	“...an Executive order laying the groundwork to ban the purchase of telecommunications equipment from China’s state-controlled firms. The decision, as I said, is having an impact because of Google. We are waiting for other companies to join in.”
Rubio (R-FL)		2023	“...the targets of the Made in China 2025 initiative reveal the goal of the People’s Republic of China for the near-total displacement of advanced manufacturing in the United States.”

Table 6: Illustrative Congressional Concerns over Trade

Several limitations exist for Congressional speech analysis. The design cannot distinguish a genuine within-speaker rhetorical shift from a compositional effect of congressional turnover, since few individual legislators in the corpus have codeable speeches across periods. Sector-level attribution within multi-sector speeches is approximate: for example, roughly

9% of industrial decline speeches name both advantage and disadvantage sector(s) in the same speech, so the language cannot always be attributed to one specific named sector with certainty. Nonetheless, the main conclusions should hold.

The unsupervised model

LLM-based annotation may be subject to prompt sensitivity or model-specific biases. STM, on the other hand, provides a robustness check based on an unsupervised method through word statistics. If substantively consistent topic trends emerge, this provides support that the LLM-identified patterns reflect an underlying structure in the corpus.

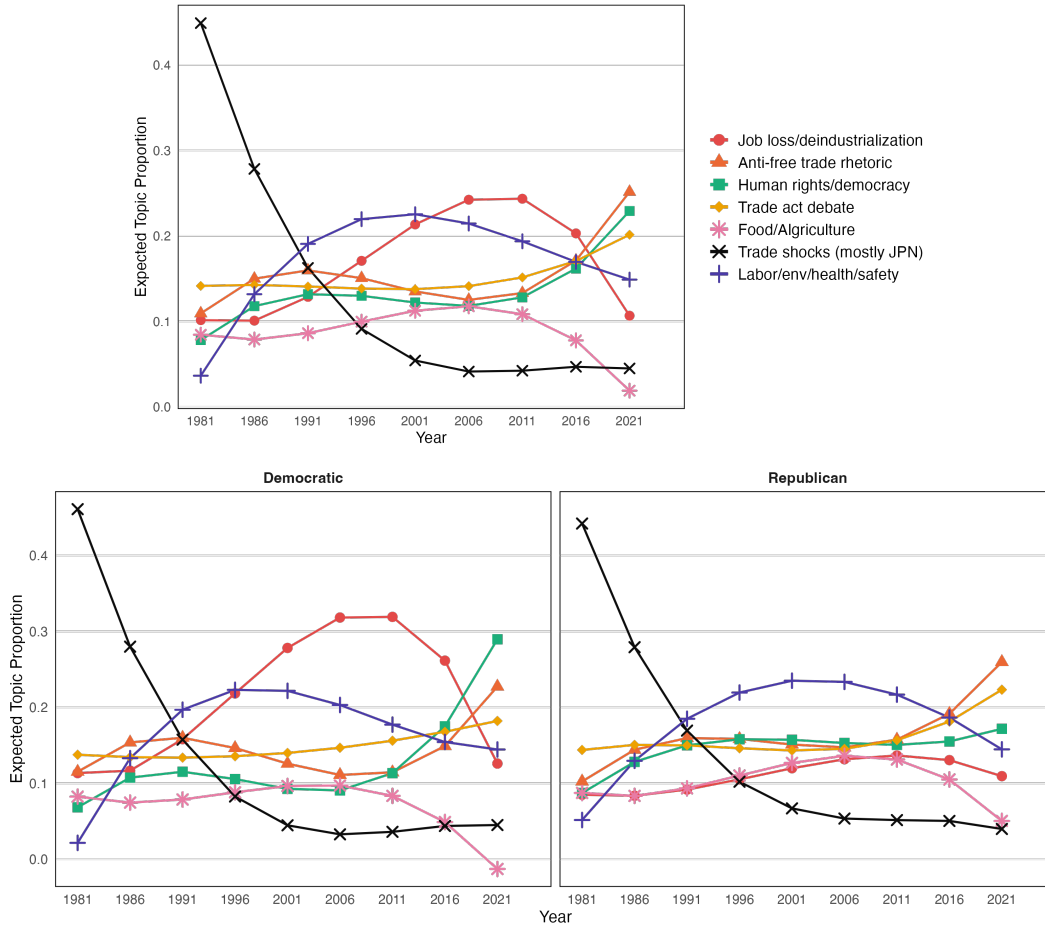


Figure 6: Trade Topic Trends: Congressional Speech on Free Trade by STM

In Figure 6, the broad pattern from the same corpus is a temporal and bipartisan shift away from technicality and liberalization discussions (e.g., environment and safety, agri-

culture) and toward concerns over industrial decline and lost jobs, which mostly include constituent-driven concerns from politicians. As these concerns reached a high level in the early 2010s, dormant anti-free trade rhetoric started rising. Through manual review of the texts, normative frames such as human rights and democracy were often used as justifying anti-trade views. Existing and new trade acts were also increasingly debated. This pattern matches the central puzzle of the paper: free-trade skepticism intensified long after shocks plateaued. By comparison, security or strategic frames are not salient, suggesting a smaller role in accounting for the recent sentimental shift.

Partisan patterns remain also consistent: in the 1990s and early 2000s, Democrats more often emphasized regional and labor costs, while Republicans more often stressed growth and efficiency. After around 2010, however, anti-free trade skepticism rose across both parties. Concern over foreign industrial competition was often bipartisan, as illustrated by U.S. responses to Japan in the 1980s. Appendix 8 shows similar patterns when legislators mention “trade with China.”

6 Cases: Two Trade War Episodes

This section provides a more in-depth look through a comparison of two historical episodes, including the instruments each government actually used and why. The United States fought two trade conflicts with rising competitors: one with Japan in the 1980s, one with China from 2018 onward. Both episodes show theory-consistent, yet differentiated patterns: aggressive, sector-specific defense concentrated on the American comparative advantage sectors, while sectors already understood as declining were left to decline. However, the U.S.-Japan case reflects a largely sectoral version of the argument, while the U.S.-China case reflects a more systemic version of the same logic.

The two episodes approximately match two “after-equilibrium” phases distinguished above. Japan’s liberalization took place within the postwar Western bloc and reached equi-

librium once Japan closed the gap in the sectors where there was American disadvantage (e.g., textiles). China’s liberalization took place within the expanded post-Cold War trade system, and roughly reached its own equilibrium when the first China shock plateaued.

U.S.-Japan: bounded threat and targeted protection

Japan’s rise in the 1980s threatened American producers across several sectors: textiles, consumer electronics, steel, shipbuilding, automobiles, semiconductors, and precision machinery among them. Contemporary accounts emphasize that U.S. complaints focused on Japan’s industrial policy, market access barriers, and exchange-rate practices, but the conflict remained concentrated in specific sectors rather than generalized across the economy (Prestowitz 1988; Tyson 1992).

In a 1986 White House briefing amid the peak years of the trade war, President Reagan described comparative advantage as “so widely accepted and clearly understood” forming the primary principle of his trade policy (Reagan 1986b). He explicitly rejected protection merely because disadvantage industries were “import-sensitive.” Yet, he vowed to *correct* unfair practices such as predatory pricing hurting industries (e.g., semiconductors) so that “America comes out of the competition a winner.” This juxtaposition suggests a logic of defending U.S. comparative advantage sectors Reagan expected to win, rather than security or strategic considerations. Expectation mismatch in affected sectors thus qualified the belief that free trade should unconditionally exist.

The United States primarily defended advantage sectors. Textiles, consumer electronics, and shipbuilding, widely considered comparative disadvantaged, received managed transitions at most (Borrus et al. 1986; Irwin 1996). Textile imports had been under quota since the Multi-Fiber Arrangement of 1974, a restraint that was left to wind down rather than be tightened (USITC 1981). Shipbuilding, an industry understood as labor-intensive and already in structural decline, lost its commercial sector almost entirely throughout the decade, and the Reagan administration’s response was to cut the subsidies (Reagan 1986a). Most

consumer electronics assembly received no equivalent instruments.

In contrast, automobiles received the most sustained defense: voluntary export restraints (VER) limited Japanese shipments from 1981 to 1994, an instrument that was renewed and tightened repeatedly (Feenstra 1988). Semiconductors received a comparable defense: the 1986 Semiconductor Arrangement restricted Japanese pricing and guaranteed American producers a fixed share of the Japanese market, and it targeted dumping specifically in memory chips, the segment where Japanese competition was most acute (Irwin 1996; Borrus, Tyson, and Zysman 1986; Reagan 1986a). Machine tools, with security implications, received a more aggressive instrument – a 1986 voluntary restraint agreement covering Japan and Taiwan, partly pursued under Section 232 on national-security grounds (U.S. Congress 1987).

The comparison of steel and automobiles reveals the agency of policymakers. When steel producers petitioned for import relief (tariffs/quotas) in 1984, the International Trade Commission (ITC) recommended it under Section 201’s injury standard. Despite eventually negotiating voluntary restraint agreements paired with an industry adjustment program, President Reagan rejected that recommendation, judging import relief not to be in the national economic interest (Reagan 1984). This was precisely managed transitions from constituent pressure, not the advantage-sector defense. In contrast, for automobiles, although the ITC determined that imports were not a substantial cause of injury, the Reagan administration nevertheless pressed Japan for a VER (USITC 1980).

The semiconductor case explicitly supports the theory once disaggregated. Semiconductors had been viewed as one U.S. advantage since World War II, with substantial economic and strategic value, but was being eroded by Japan through “a conscious national strategy of establishing comparative advantage” (Congressional Record 1982). But U.S. policy did not attempt to preserve every segment. Intel among other U.S.-based firms exited commodity DRAM production, ceding it to Japanese and later Korean producers, and redirected its capacity to microprocessors, then described as a deliberate move toward the chip design segment with higher relative margins (Grove 1996; Macher et al. 1998). What the 1986

U.S.-Japan Semiconductor Agreement protected was market access and pricing discipline for the industry as a whole, which benefited the higher-valued, design-intensive segment; it did not, however, constitute a policy of restoring U.S. advantage in DRAM manufacturing.

Crucially, the Japanese challenge was widely perceived as serious but bounded. Although fears of “Japan Inc.” were salient, the threat did not appear to span the full range of advanced U.S. industries, while staying within localized correction (Friedman 1988; Vogel 1996). Rather than retreat from the trade regime once the Japan disputes settled, it expanded its commitment to it. The North American Free Trade Agreement took effect in 1994, the same year the last of the auto VERs expired (Governments of the United States, Canada, and Mexico 1994).²⁴ The Uruguay Round Agreements Act, creating the World Trade Organization, took effect one year later.

U.S.-China: systemic threat and broad-based backlash

The U.S.-China case reflects a more systemic version of the same logic. China’s sheer economic size and its systematic state-backed industrial upgrading appeared not as isolated competition in a few sectors, but as a broad movement across a wide range of industrial and technological domains. Under those conditions, policymakers increasingly interpreted free trade as a general threat to hollow out the industrial basis of national power.

In the 2000s, China’s WTO accession generated large import shocks in labor-intensive manufacturing sectors, primarily interpreted through a conventional adjustment lens (Autor et al. 2013). By the 2010s, however, U.S. policymakers increasingly framed China’s trajectory as broad-based upgrading across advanced industrial sectors, supported by state policy, technology acquisition, and agglomerating global value chains (Lardy 2019; Naughton 2021).

The U.S.-China trade conflict since 2018 showed what seemed like the same selective logic at the outset, then broke from Japan’s pattern in scope. Official U.S. assessments emphasized

²⁴The auto VER itself had exempted cars built in the United States from the quota, and Japanese automakers responded by building American plants, Honda in 1982, Nissan in 1983, Toyota in 1986 (CSIS 2018).

that Chinese industrial strategy targeted many high-value sectors simultaneously (USTR 2018a). The issue was no longer confined to isolated sectors; it was that the sectors expected to anchor U.S. advantage were themselves being challenged across the board. Section 301 Lists 1 and 2 targeted products in Made in China 2025-designated chapters specifically, until approximately two-thirds of U.S. imports from China carried additional tariffs.

The tariffs also survived a change of party, a test the Japan episode offers no comparable version of. The Biden administration inherited the Trump tariffs, and the instrument itself widened as the conflict continued: from tariffs, to export controls on semiconductors and the equipment that produces them in 2022 (Bureau of Industry and Security 2022), to restrictions on outbound investment in 2023 (The White House 2023), to domestic industrial policies under the CHIPS Act and the IRA aimed at rebuilding lost capacity. Protection for a specific list of advantage sectors became, within several years, a bipartisan reorientation of the trade relationship that neither party has since reversed.

By 2025, this logic moved beyond China entirely. The second Trump administration imposed near-universal tariffs on most U.S. trading partners under emergency economic powers (IEEPA). When the Supreme Court ruled that authority invalid in February 2026, the administration replaced it within the same day using a different statute rather than abandoning the policy. What began as a bounded response to a specific competitor had become, within seven years, a general position that trade should not be broadly open.

In summary, the two episodes differ in outcome visible in what each government did with the rest of its trade policy beyond the disputed sectors themselves. Once the sectoral threat in the Japan conflict reached settlement, the United States expanded its liberalization commitments elsewhere. When threats are systemic, as in the U.S.-China case, tariff coverage and the range of instruments kept expanding instead. Both episodes also confirm the core expectation-mismatch argument that contemporary backlash is driven not only by who loses from trade, but by whether globalization continues to reward the sectors that originally legitimized it.

7 Conclusion

This paper argues that the politics of anti-globalization are not governed only by who loses from initial liberalization; they are also governed by whether globalization continues to reward the sectors that originally justified trade openness. Conventional winner-loser theories are powerful for explaining the politics of opening up and adjustment. But they are less able to explain why backlash dramatically intensifies after liberalization matures. The answer, I have suggested, lies in the breakdown of the trade bargain and the promise of comparative advantage.

When free trade appears to undermine incumbent advantage sectors, policymakers no longer interpret it as a bargain with manageable costs. They reinterpret it as unfair, harmful to national development, and politically unsustainable. The result is not merely stronger opposition from traditional losers. It is a broader erosion of elite support for openness itself.

This argument has three implications. First, it shifts the focus of trade politics from the distributive consequences of opening up to the foundation, bargain, and political sustainability of openness over time. Second, it shows that elite cue is itself endogenous to structural changes in the world economy. Elites do not simply transmit attitudes; they revise their own beliefs when the sectors that had legitimized openness appear threatened. Third, it suggests that contemporary anti-globalization politics are not well understood as a delayed reaction to import competition alone. They reflect a deeper crisis in the foundational assumptions that once made liberalization politically feasible.

The broader implication is not that trade is always undesirable, nor that liberalization is always politically doomed. It is that the political durability of openness is conditional. Where globalization continues to deliver promised gains in the sectors expected to anchor national prosperity, pro-trade coalitions (including, particularly, top elites) can endure. In that sense, current anti-globalization politics are neither easy to fix nor doomed. They suggest a perceived failure of the bargain at the core of globalization that remains to be resolved.

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A A Simple Model of Advantage-Sector Loss

This appendix provides a simple economic framework for the argument in the main text. The purpose is to clarify why the loss of an established advantage sector can reduce national welfare, particularly when no comparably valuable new advantage emerges. The model distinguishes three stages: an initial trade equilibrium, a foreign productivity shock, and long-run adjustment.

Setup

Consider a home country that produces and consumes two goods, 1 and 2. Good 1 is initially the country's comparative-advantage sector. Let aggregate consumption be C_1 and C_2 , and assume representative aggregate preferences of the Cobb–Douglas form:

$$U(C_1, C_2) = C_1^\alpha C_2^{1-\alpha}, \quad 0 < \alpha < 1. \quad (1)$$

An indifference curve associated with utility level $\bar{U}$ is therefore

$$C_2 = \left(\frac{\bar{U}}{C_1^\alpha} \right)^{\frac{1}{1-\alpha}}. \quad (2)$$

Production uses a fixed labor endowment L . Let A_1 and A_2 denote labor productivity in the two sectors. A simple Ricardian production possibility frontier (PPF) is

$$\frac{Q_1}{A_1} + \frac{Q_2}{A_2} \leq L, \quad (3)$$

where Q_i denotes domestic production of good i . Under autarky, consumption must equal production:

$$C_i = Q_i. \quad (4)$$

With international trade, consumption need not coincide with production. Let p_1 and

p_2 denote world prices. The value of domestic production is

$$Y = p_1 Q_1 + p_2 Q_2. \quad (5)$$

The country's consumption possibilities are consequently described by the trade budget constraint

$$p_1 C_1 + p_2 C_2 \leq p_1 Q_1 + p_2 Q_2 = Y. \quad (6)$$

Equivalently,

$$C_2 = \frac{Y}{p_2} - \frac{p_1}{p_2} C_1. \quad (7)$$

The slope of the trade budget line is therefore $-p_1/p_2$. Consumers choose the highest attainable indifference curve, implying at an interior consumption optimum

$$MRS_{12} = \frac{\alpha}{1 - \alpha} \frac{C_2}{C_1} = \frac{p_1}{p_2}. \quad (8)$$

Initial Trade Equilibrium

Suppose the home country initially possesses comparative advantage in good 1. Relative to autarky, trade induces the country to specialize more heavily in good 1 and exchange some of its production for good 2.

Let $Q^{T1} = (Q_1^{T1}, Q_2^{T1})$ denote the initial production point and $C^{T1} = (C_1^{T1}, C_2^{T1})$ the corresponding consumption point. Because trade separates production from consumption, C^{T1} can lie outside the domestic PPF even though the value of consumption cannot exceed the value of production:

$$p_1 C_1^{T1} + p_2 C_2^{T1} = p_1 Q_1^{T1} + p_2 Q_2^{T1}. \quad (9)$$

The country consequently reaches utility

$$U^{T1} = U(C_1^{T1}, C_2^{T1}), \quad (10)$$

which exceeds the utility attainable under autarky when the standard gains-from-trade conditions hold.

This is the benchmark underlying the expectation of mutually beneficial specialization: the country concentrates production in activities in which it possesses an advantage and uses international exchange to obtain a consumption bundle unavailable under autarky.

A Foreign Productivity Shock

Now consider a productivity improvement abroad concentrated in good 1, the sector in which the home country initially possesses comparative advantage. Let foreign productivity in this sector increase from A_1^* to $\tilde{A}_1^* > A_1^*$.

The productivity shock expands foreign supply of good 1 and, under standard conditions, reduces its relative world price:

$$\frac{\tilde{p}_1}{\tilde{p}_2} < \frac{p_1}{p_2}. \quad (11)$$

Because good 1 is the home country's initial export and advantage sector, equation (11) represents a deterioration in the home country's terms of trade.

Suppose first that domestic production cannot adjust immediately, so that

$$Q^{T2} = Q^{T1}. \quad (12)$$

The value of this production after the shock becomes

$$Y^{T2} = \tilde{p}_1 Q_1^{T1} + \tilde{p}_2 Q_2^{T1}. \quad (13)$$

Since the country initially specializes disproportionately in good 1, the fall in its relative price reduces the purchasing power of domestic production over imports. The consumption

budget line changes accordingly:

$$\tilde{p}_1 C_1 + \tilde{p}_2 C_2 \leq Y^{T2}. \quad (14)$$

The country therefore reaches a new consumption point C^{T2} and utility level

$$U^{T2} = U(C_1^{T2}, C_2^{T2}). \quad (15)$$

The short-run welfare effect can be summarized as follows.

Proposition 1. *A foreign productivity improvement concentrated in the home country's export sector can reduce home welfare by deteriorating its terms of trade. The welfare loss is larger, all else equal, the more heavily home production is initially concentrated in that sector.*

The intuition is straightforward. The productivity shock does not need to destroy the home country's physical productive capacity. Instead, it reduces the value of its existing productive capabilities at world prices. A country whose production is concentrated in the affected sector therefore obtains fewer imports for a given quantity of exports.

Long-Run Adjustment and the Loss of Advantage

In the long run, production can adjust to the new world prices. Let the post-adjustment production point be

$$Q^{T3} = (Q_1^{T3}, Q_2^{T3}), \quad (16)$$

where the contraction of the former advantage sector implies

$$Q_1^{T3} < Q_1^{T1}. \quad (17)$$

The important question is whether the economy develops a sufficiently valuable alterna-

tive specialization. Standard trade logic permits this possibility: resources released from the declining sector can move toward other activities, potentially generating a new comparative advantage.

The argument in the main text concerns the case in which this replacement is incomplete. When trading partners swiftly erode advantageous sectors through interventions, one is likely given too short a time to generate new advantage sectors. Define the maximum value of domestic production at world prices as

$$V(p_1, p_2) = \max_{(Q_1, Q_2) \in Q} \{p_1 Q_1 + p_2 Q_2\}, \quad (18)$$

where Q is the country's production possibility set.

After the foreign productivity shock, the country's maximum attainable production value is

$$V(\tilde{p}_1, \tilde{p}_2) = \tilde{p}_1 Q_1^{T3} + \tilde{p}_2 Q_2^{T3}. \quad (19)$$

If adjustment into other sectors does not compensate for the decline in the value of the former advantage sector, then, measured in units of the import good,

$$\frac{V(\tilde{p}_1, \tilde{p}_2)}{\tilde{p}_2} < \frac{V(p_1, p_2)}{p_2}. \quad (20)$$

The country's attainable consumption set is consequently less favorable than before the shock, and the highest attainable utility level can fall:

$$U^{T3} < U^{T1}. \quad (21)$$

This yields the central result.

Proposition 2. *The welfare consequences of losing a comparative-advantage sector depend on the economy's ability to generate compensating advantages elsewhere. If the decline in the value of the established advantage sector is not offset by sufficiently valuable alternative*

production, the foreign productivity shock produces a persistent reduction in real income and welfare relative to the pre-shock trade equilibrium.

Importantly, Proposition 2 does not imply that losing comparative advantage necessarily makes trade welfare-reducing, nor does it require the physical PPF to contract. The result instead concerns the value of the country's productive capabilities at prevailing world prices. If the relative price of the country's established advantage good falls substantially and no comparably valuable new specialization emerges, its feasible consumption opportunities can remain below their previous level even after production has adjusted.

Expectation Mismatch

The model clarifies the distinction between the conventional expectation generated by comparative advantage and the political problem examined in the paper.

At the initial equilibrium, globalization offers a straightforward bargain:

$$\text{specialization} \rightarrow \text{higher efficiency} \rightarrow \text{greater consumption possibilities} \rightarrow \text{higher welfare.} \quad (22)$$

This logic does not, however, imply that the identity of advantage sectors is fixed. Foreign productivity growth can erode an established advantage. Nor does comparative advantage guarantee that a country losing one high-value specialization will automatically acquire an equally valuable replacement.

The politically consequential trajectory is therefore:

$$\begin{aligned} &\text{established domestic advantage} \\ &\quad \rightarrow \text{foreign catch-up in the same sector} \\ &\quad \rightarrow \text{deteriorating terms of trade and domestic contraction} \\ &\quad \rightarrow \text{no commensurate new advantage.} \end{aligned} \quad (23)$$

Under these conditions, the realized trajectory of globalization can diverge from the prior expectation that specialization will continuously reallocate economic activity toward mutually beneficial uses. The relevant political response need not therefore arise simply from import competition in disadvantaged sectors. It can arise from the perceived failure of globalization to preserve or replace activities in which the country expected its productive strengths to be rewarded.

This distinction motivates the paper’s focus on *expectation mismatch*: political dissatisfaction can emerge when policymakers observe persistent losses in sectors understood as national strengths without corresponding gains in new advantage sectors. The economic model does not itself determine the political response. Rather, it establishes the economic conditions under which such a mismatch between expected and realized specialization can arise.

B Empirical Results

B.1 Robustness: Sensitivity Analysis

I conduct a sensitivity analysis following Cinelli and Hazlett (2020), applied directly to the baseline specification. Because the specification already includes both the StableCA and MIC2025 main effects alongside their interaction, a confounder correlated with either category alone contributes little to the residual variance of the interaction term itself; to threaten the estimate, an omitted confounder would need to correlate specifically with the intersection of the two. The Robustness Value at $q = 1$ is 9.24%: such a confounder would need to explain at least 9.24% of the residual variance in both this interaction and the outcome to fully explain away the estimated effect. Structural or compositional covariates – import penetration, log employment, intermediate-good status, log value-added – hold up considerably better, in the 9 to 193 times range (Table 7).

Table 7: Sensitivity to Unobserved Confounding: MIC2025-Interacted Benchmarks

Benchmark covariate $\times$ MIC2025	Confounder strength needed to fully explain away effect
Consumer good	9.0 $\times$
Log value-added	21.0 $\times$
Intermediate good	37.0 $\times$
Log employment	130.0 $\times$
Import penetration	193.0 $\times$

Note: Each benchmark covariate is interacted with MIC2025 status, one at a time, in its own minimal single-interaction model (all other controls left plain), so the benchmark shares the treatment’s own structure.

B.2 Robustness: Matching and CBPS Weighting

The LPM specification assumes a linear functional form for the StableCA $\times$ MIC2025 interaction. To relax this, I use two matching methods: nearest-neighbor propensity-score matching (exact-matched on HS-2 chapter) and covariate-balancing propensity score (CBPS) weighting (Imai and Ratkovic 2014), each estimating the effect of stable comparative advantage on Section 301 targeting separately within and outside MIC2025 sectors – a matching-based analog to the LPM interaction that does not impose linearity. Both methods find the same pattern: a substantially larger effect of stable comparative advantage within MIC2025 sectors than outside them. Nearest-neighbor matching gives an ATT of 0.111 ($p = 0.006$) within MIC2025 versus 0.013 ($p = 0.424$, not significant) outside it; CBPS weighting gives an ATE of 0.090 ($p = 0.034$) within MIC2025 versus 0.014 ($p = 0.137$, not significant) outside it. Both differences are close to the LPM interaction’s own estimate (0.147), and in both cases the effect is significant only within MIC2025 sectors, not outside them – evidence the interaction is not an artifact of the LPM’s linear functional form.

Table 8: Robustness: Matching and CBPS Weighting

Method	Within MIC2025	Outside MIC2025	Difference
Nearest-neighbor matching (ATT)	0.111 (0.041)	0.013 (0.017)	0.098
CBPS weighting (ATE)	0.090 (0.042)	0.014 (0.009)	0.076
Double ML – lasso7 , 5-fold CV (ATE)	0.070 (0.031)	0.005 (0.007)	0.065

Note: Row 1: nearest-neighbor propensity-score matching (exact-matched on HS2 chapter), average treatment effect on the treated. Row 2: CBPS balance-constrained weighting, average treatment effect. Row 3: Double ML (Chernozhukov et al. 2018), 5-fold cross-fitted lasso nuisance functions, estimated within MIC2025 only. HC1 robust SEs in parentheses.

B.3 Randomization Inference: Permutation

A natural concern with the interaction estimate in main results is that either component of the interaction – the eight-chapter MIC2025 list or the durable comparative-advantage (StableCA) classification – could be an artifact of how those categories happen to be constructed, rather than evidence of a systematic relationship between comparative advantage and Section 301 targeting. We address this with three randomization-inference tests, each holding one component of the interaction fixed at its true, observed value while redrawing the other from its null distribution 2,000 times, re-estimating the StableCA $\times$ MIC2025 interaction coefficient on every redraw, and locating the true coefficient (0.147) within the resulting empirical null distribution.

The first test holds the true StableCA classification fixed and, on each draw, replaces the eight true MIC2025 chapters with a random eight-chapter subset of the 68 eligible HS-2 chapters. The second test holds the true MIC2025 list fixed and instead redraws which same-sized subset of HS-6 products is labeled StableCA. The third test randomizes both simultaneously and independently. Figure 7 plots the three resulting null distributions, with the true coefficient marked as a vertical red line; Table 9 reports the corresponding percentile and one- and two-sided p -values.

The results are asymmetric in an informative way. Randomizing *only* the MIC2025 list (holding the real StableCA classification fixed) places the true coefficient at the 89.4th

percentile of the null distribution — an elevated but not conventionally significant position (two-sided $p = 0.316$). In other words, given the true set of durable comparative-advantage products, an arbitrary random eight-chapter list is not statistically distinguishable from the real MIC2025 list in how strongly it interacts with StableCA to predict targeting. By contrast, randomizing *only* the StableCA classification (holding the real MIC2025 list fixed) places the true coefficient beyond the entire null distribution (two-sided $p < 0.001$; 0 of 2,000 draws produced a coefficient as large), and randomizing both simultaneously yields the same conclusion (two-sided $p = 0.001$).

Read together, these tests indicate that the interaction is driven specifically by *which products* possess durable comparative advantage, not by the particular choice of MIC2025 chapters. A random StableCA subset essentially never reproduces the observed relationship, while a random MIC2025-style list, conditional on the real StableCA classification, plausibly could. This is consistent with the paper’s core claim — that durable comparative advantage, not sector labeling per se, is the relevant predictor of targeting — while flagging that the MIC2025 boundary itself should be interpreted as one reasonable operationalization of “strategic sector” rather than as a uniquely pinned-down list.

Table 9: Randomization Inference: StableCA $\times$ MIC2025 Interaction

Test	Percentile of true coef.	One-sided p	Two-sided p
Randomize MIC2025 only	89.4%	0.1060	0.3155
Randomize durable CA only	100.0%	0.0000	0.0000
Randomize both jointly	99.9%	0.0010	0.0010

Note: True coefficient = 0.147. 2,000 draws per test. “Randomize MIC2025 only” redraws a random 8-chapter subset of the 68 eligible HS2 chapters as a fake MIC2025 list, holding the real stable_adv classification fixed. “Randomize durable CA only” redraws a random same-sized subset of products as fake stable_adv, holding the real MIC2025 list fixed. “Randomize both jointly” redraws both independently. Percentile is the true coefficient’s position in each test’s null distribution.

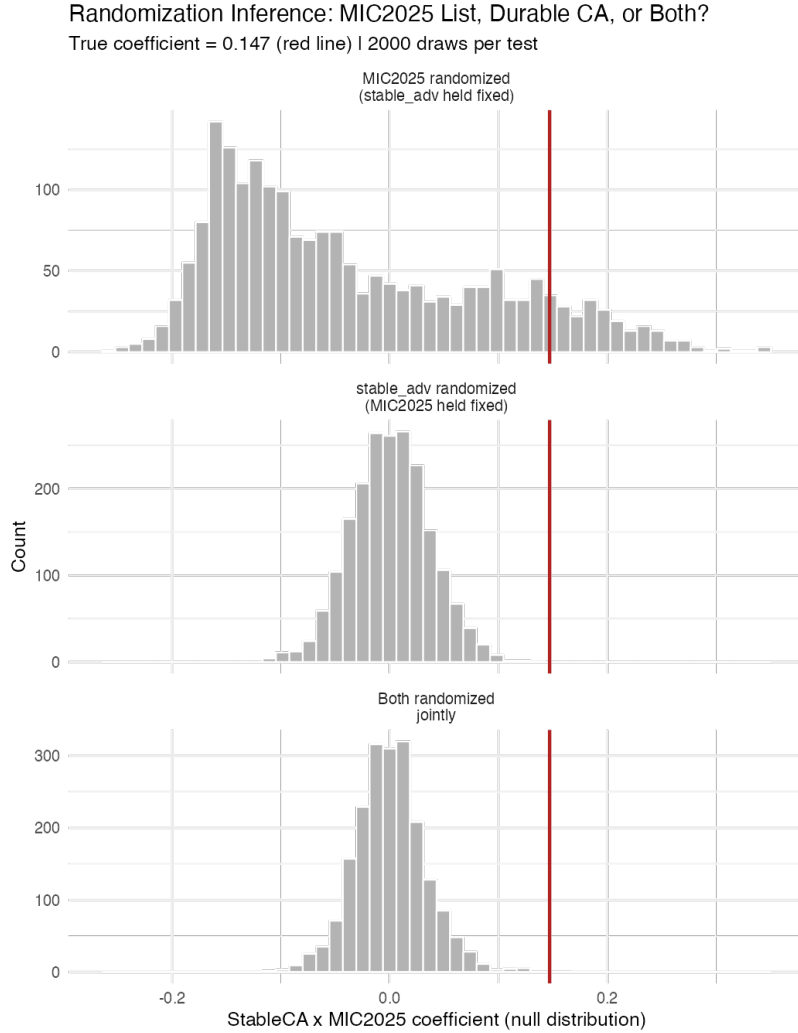


Figure 7: Null Distributions from Randomization Inference. *Note:* Each panel shows the empirical null distribution of the StableCA $\times$ MIC2025 coefficient over 2,000 draws, holding one or both components fixed at their true values as described in the text. The vertical red line marks the true, observed coefficient (0.147).

B.4 Robustness: Bilateral Trade Deficit

A further concern is that Section 301 targeting tracked the US-China bilateral trade deficit – which the policy was partly framed around addressing – rather than comparative advantage itself. To test this, I add the raw US-China trade deficit at HS-6 (2001-2007 average, China’s exports to the US minus US exports to China) to the baseline specification. Included as a plain control, it leaves the interaction essentially unchanged: the comparative-advantage

effect is not simply a proxy for deficit-heavy sectors (Table 10).

A stricter test interacts the deficit with MIC2025 as a competing term, so both interactions draw on the same MIC2025-specific variation in the same regression. $\text{StableCA} \times \text{MIC2025}$ remains significant, while $\text{deficit} \times \text{MIC2025}$ is itself significant but carries the opposite sign from what a deficit-driven-targeting story would predict – within MIC2025 sectors, a larger bilateral deficit is associated with lower, not higher, targeting probability. The bilateral-deficit story does not cleanly substitute for comparative advantage, and its unexpected sign argues against it as the true driver of targeting.

Table 10: US-China Bilateral Trade Deficit

	(1) Baseline	(2) +Deficit	(3) +MIC2025 Int.	(4) +Deficit (%)	(5) +MIC2025 Int.
Stable CA	−0.010 (0.013)	−0.032** (0.013)	−0.006 (0.013)	−0.012 (0.013)	−0.010 (0.013)
MIC 2025	0.286*** (0.021)	0.290*** (0.021)	0.346*** (0.023)	0.287*** (0.021)	0.292*** (0.021)
Stable CA × MIC 2025	0.147*** (0.033)	0.149*** (0.033)	0.098*** (0.033)	0.143*** (0.033)	0.140*** (0.033)
US-China trade deficit		−0.006*** (0.001)	−0.001 (0.001)		
Trade deficit × MIC 2025			−0.013*** (0.002)		
US-China trade deficit (%)				−0.001** (0.000)	0.000 (0.000)
Deficit (%) × MIC 2025					−0.001** (0.001)
Log US export value	0.005 (0.004)	0.019*** (0.004)	0.013*** (0.004)	0.006* (0.004)	0.005 (0.004)
Import penetration	−0.021 (0.050)	−0.004 (0.042)	−0.019 (0.041)	−0.001 (0.048)	−0.026 (0.051)
Log value-added	−0.036*** (0.007)	−0.047*** (0.007)	−0.037*** (0.007)	−0.035*** (0.007)	−0.034*** (0.007)
Log employment	0.061*** (0.010)	0.077*** (0.010)	0.059*** (0.010)	0.060*** (0.010)	0.059*** (0.010)
China import share	−0.210*** (0.029)	−0.080*** (0.030)	−0.111*** (0.029)	−0.195*** (0.030)	−0.209*** (0.030)
China RCA	−0.003 (0.003)	−0.001 (0.003)	−0.002 (0.003)	−0.002 (0.003)	−0.002 (0.003)
Log US-China exports	0.025*** (0.003)	0.012*** (0.003)	0.017*** (0.003)	0.025*** (0.003)	0.025*** (0.003)
Intermediate good	−0.186*** (0.023)	−0.175*** (0.023)	−0.144*** (0.024)	−0.189*** (0.023)	−0.187*** (0.023)
Consumer good	−0.220*** (0.024)	−0.209*** (0.024)	−0.193*** (0.024)	−0.222*** (0.024)	−0.222*** (0.024)
N	4023	4023	4023	4023	4023
R^2	0.435	0.445	0.460	0.436	0.437

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Note: HC1 robust SEs in parentheses. US-China bilateral trade deficit is HS-6 level, 2001-2007 average (China's exports to the US minus US exports to China; BACI data), transformed with $\text{asinh}()$ since some HS-6 products have a negative deficit (US net exporter).

B.5 Robustness: Value-Added and Total Factor Productivity

A competing explanation regarding the main result is that “comparative advantage” merely proxies for sectors where the United States is generally more productive or higher value-

added, rather than capturing a distinct comparative-advantage-defense logic. But comparative advantage cannot be reduced to high-value-added industries: the United States, for example, ceded commercial shipbuilding and much semiconductor manufacturing despite both being relatively high-value activities.

I add five-factor total factor productivity (TFP) from the NBER-CES Manufacturing Industry Database, averaged over 2001-2007 and matched to HS-6 products via an HS-6-to-NAICS-4 concordance, along with HS2 fixed effects, to the baseline specification. The TFP check is suggestive since the data is limited to the NAICS-4 level. The interaction effect is essentially unchanged (0.200 vs. 0.147 at baseline, both $p < 0.001$). TFP is then interacted with MIC2025 status directly, so the two interactions compete for the same MIC2025-specific variation in the same regression: the StableCA×MIC2025 term remains significant (0.200, $p < 0.001$), while the TFP×MIC2025 term is not (0.192, $p = 0.44$).

Table 11: Comparative Advantage vs. Productivity: TFP Robustness

	(1) Baseline	(2) +TFP, HS2 FE	(3) +TFP×MIC2025
StableCA × MIC2025	0.147*** (0.000)	0.200*** (0.000)	0.200*** (0.000)
TFP × MIC2025	—	—	0.192 (0.444)
Controls	Yes	Yes	Yes
Value-added, employment controls	Yes	Yes	Yes
TFP control	No	Yes	Yes
HS2 fixed effects	No	Yes	Yes

Note: Dependent variable is Section 301 List 1/2 targeting. p -values in parentheses. * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

B.6 Placebo Tests

Two concerns remain about the StableCA×MIC2025 interaction: whether the same pattern would appear for U.S. policy instruments unrelated to comparative-advantage defense, and whether StableCA×MIC2025 products were already unusually protected before MIC2025 or Section 301 existed. Table 12 reports five placebo tests addressing both.

The first three test instrument specificity, using the same interaction and controls with the dependent variable replaced by a different U.S. trade or industrial policy: the Biden CHIPS Act (rebuilding *lost* comparative advantage in semiconductors), the Biden IRA clean-energy subsidies (creating *new* comparative advantage in EVs, batteries, and wind, where the U.S. had none), and the Trump Section 232 steel/aluminum tariffs (a security rationale unrelated to comparative-advantage defense; StableCA alone is tested here since its chapters are disjoint from MIC2025's). All three come back null or negative on the relevant coefficient.

The remaining two are pre-trend placebos, testing whether StableCA×MIC2025 products were already unusually protected before either MIC2025 (2015) or Section 301 (2018) existed. Column (5) uses the U.S. MFN applied tariff rate in 2016 (WITS/TRAINS, World Bank); column (6) uses an indicator for an active U.S. antidumping or countervailing duty order initiated 2009-2016 and still in force as of 2016 from the Temporary Trade Barriers Database (Bown [2016](#)), a sharper test since AD/CVD orders are targeted, product-specific trade remedies rather than a general tariff schedule. Both interactions are null: 0.015 ($p = 0.95$) for the pre-existing MFN tariff level, and 0.009 ($p = 0.43$) for pre-existing AD/CVD status. StableCA×MIC2025 products were not already unusually protected under either measure before Section 301 – the 2018 targeting pattern is not a continuation of pre-existing U.S. trade protection toward these products.

Table 12: Instrument Specificity and Pre-Trend Placebo Tests

	CHIPS (Biden)	IRA (Biden)	Sec 232 (Trump)	Pre-2016 MFN	Pre-2016 AD/CVD
Stable CA	−0.003* (0.002)	−0.003*** (0.001)	−0.081*** (0.009)	−0.106 (0.123)	−0.020*** (0.007)
Stable CA × MIC 2025	0.008 (0.010)	0.010 (0.012)		0.015 (0.229)	0.009 (0.011)
Log US export value	0.000 (0.001)	0.002* (0.001)	0.006* (0.003)	0.254*** (0.062)	0.011*** (0.002)
Import penetration	0.078 (0.070)	0.004 (0.025)	−0.030 (0.026)	−0.425 (0.423)	0.018 (0.032)
Log value-added	0.016*** (0.004)	−0.005 (0.006)	0.031*** (0.007)	−0.964*** (0.211)	0.008 (0.010)
Log employment	0.005** (0.003)	0.007 (0.006)	0.155*** (0.011)	0.696*** (0.217)	−0.001 (0.011)
China import share	−0.009* (0.005)	−0.007 (0.009)	0.264*** (0.039)	−2.209*** (0.699)	0.076*** (0.028)
China RCA	0.002* (0.001)	−0.002 (0.001)	−0.030*** (0.004)	0.456*** (0.094)	−0.006** (0.003)
Log US–China exports	0.002*** (0.001)	0.000 (0.001)	−0.005** (0.003)	−0.205*** (0.049)	−0.003 (0.002)
Intermediate good	0.033*** (0.008)	−0.049*** (0.011)	0.083*** (0.009)	−0.099 (0.163)	0.013 (0.010)
Consumer good	0.021*** (0.005)	−0.049*** (0.011)	−0.015 (0.010)	−0.468** (0.221)	−0.011 (0.011)
N	4023	4023	4023	3712	4023
R^2	0.088	0.118	0.180	0.531	0.092
DV logic	Security	Climate	Security	Pre-2016	Pre-2016
Controls	Yes	Yes	Yes ^a	Yes	Yes
Stable CA × MIC 2025	Yes	Yes	No ^b	Yes	Yes
Chapter FE	Yes	Yes	No ^a	Yes	Yes

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

^a Chapter FE omitted for Sec. 232 because the DV spans entire HS-2 chapters (72, 73, 76), making chapter intercepts collinear with the dependent variable.

^b MIC 2025 interaction omitted for Sec. 232 because its chapters (72, 73, 76) are disjoint from MIC 2025 chapters (84–90, 30), so the two conditions never co-occur; Stable CA alone is tested instead.

B.7 LLM-based result: regression

Table 13 compares the 2016-and-later period against the 2001-2008, the period of lowest MIC2025 salience in the 1981-2024 sample. The unit of observation is the sector mention, and the quantity of interest is average attention across all named-sector mentions. MIC2025 indicates the ten categories on China’s published list; Disadvantage indicates steel or textiles, chosen as a comparison group because both had mean 2001-2007 RCA well below one — genuine comparative disadvantage.

Subset	N	MIC2025 Δ (p)	Disadvantage Δ (p)
All speeches	1,208	+0.077 [†] (0.056)	−0.070** (0.008)
Decline concern	683	+0.251*** (0.0001)	−0.136*** (0.0004)
Security framing	233	+0.251** (0.002)	−0.122** (0.002)
Criticizes free trade	857	+0.148** (0.004)	−0.073* (0.049)
China mentioned	456	+0.099 [†] (0.072)	−0.113** (0.003)
Calls for protection	947	+0.108* (0.022)	−0.098** (0.001)

Table 13: MIC2025 and Comparative-Disadvantage Sector Share: 2016+ vs. 2001-2008. *Note:* Coefficients are the post-2015 shift in each mention’s share of MIC2025 or disadvantage sectors, 2016+ vs. the 2001-2008 trough; p -values in parentheses. N = sector mentions in the two periods combined. * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Table 14: Top 20 Sectors by Mention Count, by Classification

Advantage		Disadvantage		Neither	
Sector	<i>n</i>	Sector	<i>n</i>	Sector	<i>n</i>
automobile	413	steel	370	agriculture	224
pharmaceuticals	97	textile	311	manufacturing	190
aerospace	93	footwear	126	agricultural	93
information technology	89	apparel	82	lumber	84
electronics	80	textile and apparel	77	oil	72
telecommunications	76	glass	27	wheat	68
semiconductors	74	furniture	22	sugar	67
computers	72	leather	15	beef	57
machine tools	69	toys	12	farmers	44
power equipment	48	bicycles	8	soybeans	41
auto parts	45			services	40
medical equipment	40			dairy	39
maritime	30			corn	29
transportation equipment	18			citrus	25
agricultural machinery	12			pork	23
supercomputers	11			potato	20
railroad	7			tobacco	20
microelectronics	5			grain	19
new materials	3			aluminum	17
satellites	2			coal	16

B.8 Additional STM results

Figure 8 shows topic proportions for the China-trade corpus binned across five periods. The composition shifts markedly: MFN status, tied to the annual most-favored-nation renewal debates and their human-rights conditionality, dominates in 1981-1991 and collapses to near zero by 2009-2015, consistent with PNTR ending the annual renewal ritual in 2000; Human rights follows the same decline. In their place, trade shocks/deindustrialization and Unfair trade/mercantilism rise from a combined quarter of topic share in 1981-1991 to over 70% by 2009-2015, remaining high through 2016-2024.

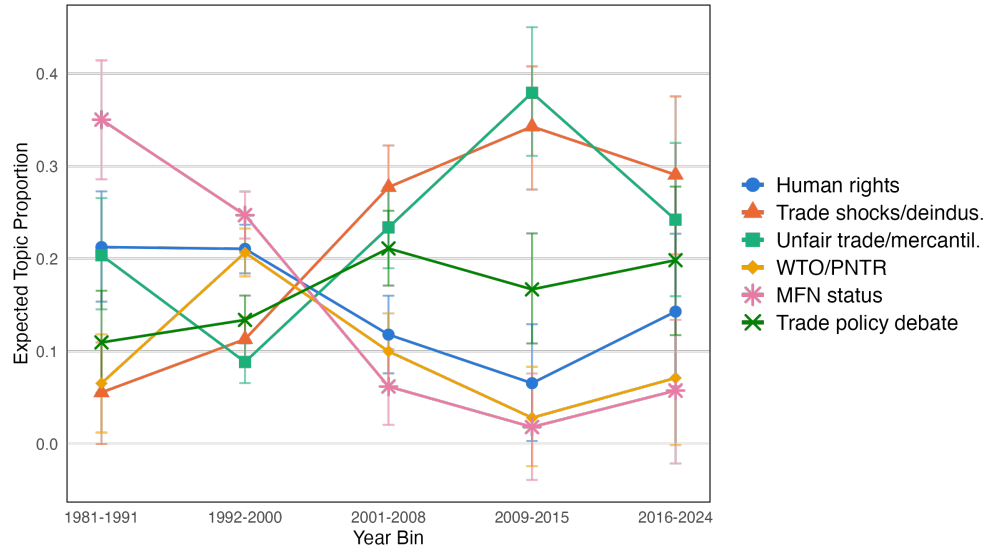


Figure 8: Trade Topic Trends: Trading with China (1981-2024).